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MAY 2025

Hearst Ad & Data Products Primary Research Learnings

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Recap of Project Objectives

Project Overview

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Hearst is driving a strategic initiative exploring how to combine its media and data assets to create compelling, data-powered solutions that meet the evolving needs of advertisers and agencies. By combining insights from quantitative and qualitative research, the goal is to create compelling concepts that address industry needs and have high revenue potential.

PROJECT GOALS

Trends Analysis

Understand media investment trends and challenges to uncover key needs and priorities for key advertisers.

Opportunity Fit Assessment

Assess directional market opportunity for a unified advertising solution leveraging Hearst data and channel assets.

Concept Delivery

Define concept ideas, highlighting unique attributes, key features, target market fit and how they enhance existing Hearst initiatives and assets.

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Focus for Conducting Primary Research

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- Research will inform multiple aspects of a future-state roadmap to develop enhanced advertising solutions - with a priority focus on tools, services, and applications that will deliver favorable returns on investments for Hearst and its advertisers.

Data Assets

How should Hearst activate its data?

- How do agencies and clients perceive the value and trustworthiness of publisher first-party data compared to their own?
- How can Hearst effectively demonstrate unduplicated reach across its diverse media assets without solely relying on publisher data?
- What are the most critical KPIs that agencies and advertisers use to evaluate media performance, particularly in programmatic and cross-channel campaigns?

Unique & Compelling Offerings

How should Hearst approach advertisers?

- What are the specific expectations of agencies and clients regarding a unified Hearst offering ("OneHearst") and what would a minimum viable product look like?
- How can Hearst help brands balance the need for national reach with effective local targeting, while communicating the value of its local media offerings in a performance-driven landscape?
- How can Hearst differentiate its media offerings by leveraging its unique audience segments and data integration capabilities to provide more targeted and measurable solutions for advertisers?

Media Assets

How should Hearst evolve its media mix?

- What are the primary reasons for the perceived underperformance of programmatic media buying, and how can Hearst differentiate its inventory?
- What are the evolving needs and expectations of CMOs regarding brand versus performance marketing, and how can Hearst's assets align with these objectives?
- How can Hearst's media assets be integrated into marketers' existing workflows to provide seamless cross-channel measurement and data-driven insights, ensuring a more efficient planning and buying process?

PRIMARY RESEARCH FOCUS

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Research Approach and Outcomes

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Research & Exploration

38

Interviews with demand side media planners/buyers & executives

Workshops and working sessions with stakeholders to validate findings

200n

Quantitative survey

Sample Size by Spend	Count
$500,000 to $2 million	47
$2 million to $10 million	46
More than $10 million	107
Grand Total	**200**

Sample Size by Industry	Count
Automotive	34
Beauty/Luxury	28
CPG	69
Financial Services	57
Healthcare	70
Travel & Tourism	24
Politics/Political Advertising	5
All of the Above	3
Other	18
Grand Total	**308***

**Agency respondents could select multiple industries served*

Desktop research

Synthesis & Analysis

Market research and survey insights to generate hypotheses.

Translate hypotheses into offering features / functionality

A + B + C

Conduct industry specific qualitative refinement

Revise concepts and highlight MVP feature / functionality recommendations

Calculate directional opportunity size

Outcomes

Uncover key trends and pain points impacting the demand-side of media buying

Design and test potential data and media solutions

Make recommendations on ad & data product concepts, and directional market opportunity

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Who We Spoke To…

Brand

Retail/Professional Services

T-Mobile, Signet Jewelers, SPARC, Bath Fitter

Financial Services

JPMorgan Chase & Co., Cresset, MMTC Merchants Mortgage & Trust Corporation, Advancial Federal Credit Union, Tower Federal Credit Union, kinecta banking done different

Healthcare

abbvie, Tidelands Health with MUSC Health, Ascension, 24 hour home care

Travel & Tourism

Delta, Pier39

Automotive

gm general motors, Toyota, Ford, AKG Automotive Keys Group, Tint World

Beauty/Luxury

Estée Lauder Companies, Sephora Perfume-Make Up-Skincare

Politics

Bully Pulpit International, SKDK

Agency

IPG, PMG, horizon media, Havas, fusion92, amp agency, Robindale Media Buying · Strategy · Analytics

Media Services

reach tv, Comcast, NBC Universal, Nielsen

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Key Primary Research Themes

Observations & Insights Summary

Evolving Pain Points in Media Strategy: Buyer Insights from Qualitative Interviews

Data & Measurement Gaps

- **Data Integration & Quality:** Struggle in effectively leveraging first-party and third-party data. Fragmented data sources make it challenging to gain insights and optimize performance.
- **Challenges with Cross-Channel Attribution & ROI Clarity:** Marketers persistently struggle to measure the effectiveness of their media investments across channels. Attribution remains unclear, making it difficult to connect the performance of various platforms and demonstrate a cohesive ROI, especially in omnichannel campaigns.

Expressed Needs & Unique Selling Points

- **Strong Demand for Centralization:** Marketers express a strong need for centralized, cross-channel planning tools that integrate multiple platforms and reduce manual coordination.
- **Targeting & Inventory Gaps**: Marketers are looking for better precision in segmenting and reaching their desired audiences to ensure campaigns are more effective and less wasteful.
- **Frustration with Agency Limitations**: Many marketers are frustrated by agencies failing to provide tailored solutions that deliver measurable results with an expressed need for more personalized strategies and clearer ROI.

Media Mix Challenges

- **Local vs. National Strategy Complexity:** Struggles with finding the right balance between tailored local efforts and broader national strategies. Complexity in balancing the needs for both national reach and effective local targeting.
- **Programmatic Media Performance:** Viewed as underperforming and lacking transparency. Programmatic is not delivering as expected, and measurement is often unclear.
- **Local Buying Challenges:** Described as slow, inconsistent, and hard to scale due to a lack of integrated tools and fragmented market execution.

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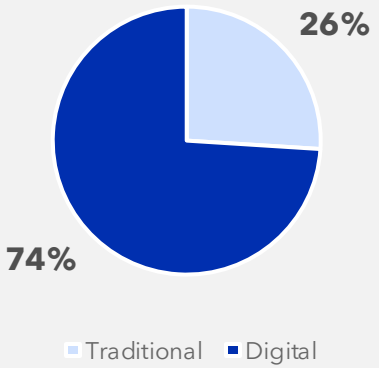
Media Allocation Trends

From Quantitative Survey

We asked 200 participants where their advertising budgets are today and where they're headed

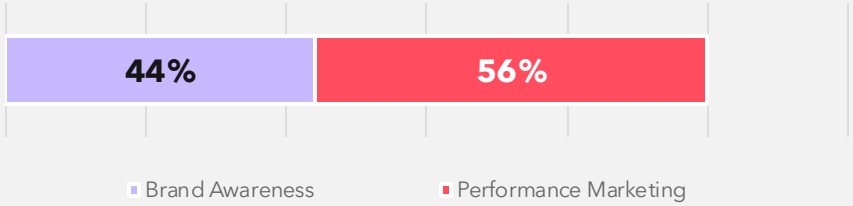
Budget Allocations Show Subtle but Steady Shift Toward Outcome-Based Media

Average Media Budget Allocation over Next 12M



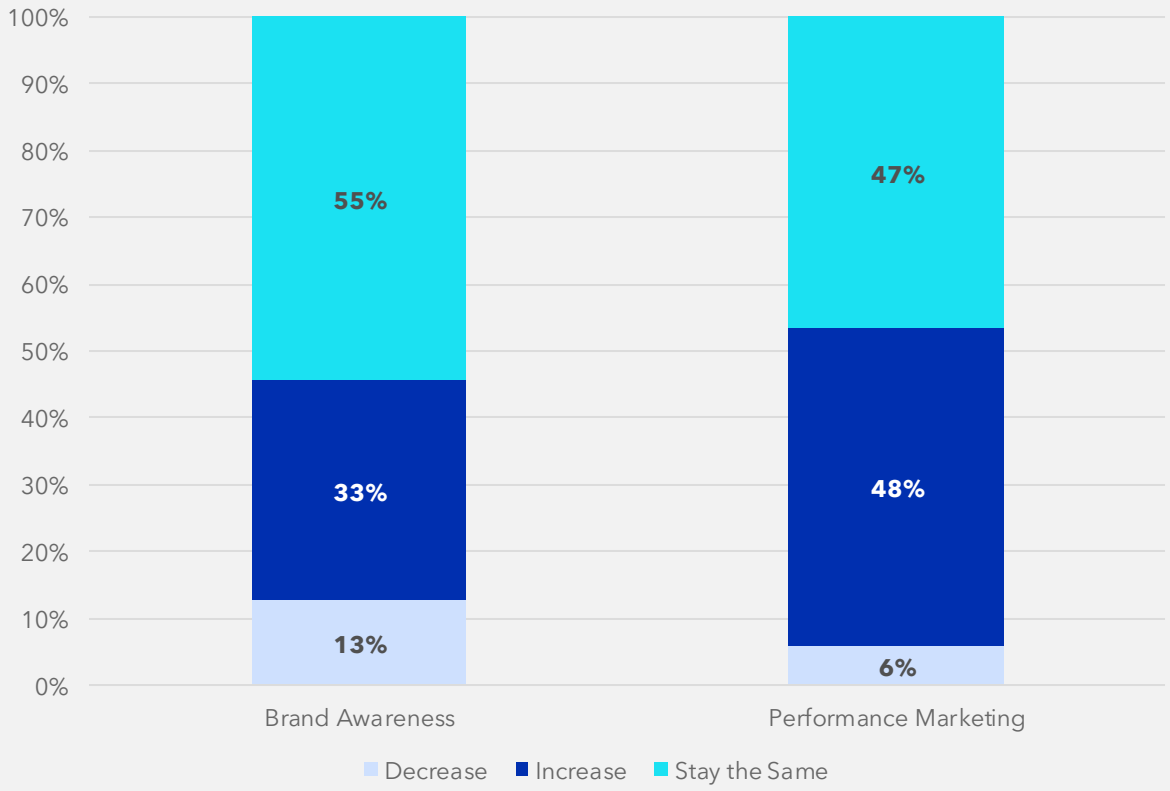
What percentage of your organization's current media budget is allocated to brand awareness and performance marketing efforts?

Current Average Media Budget Allocation



What percentage of your organization's current media budget is allocated to brand awareness and performance marketing efforts?

Change in Media Budget Allocation over Next 12M



Looking ahead to the next 12 months, how do you expect your organization's media budget allocation to change for each of the following?

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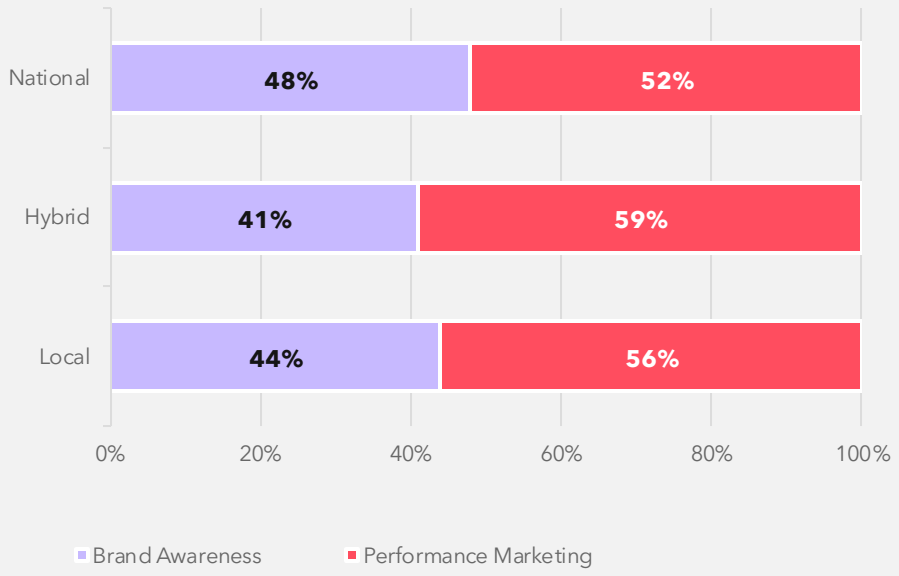
Brand Awareness vs. Performance Marketing by Local/National

Current Average Media Budget Allocation



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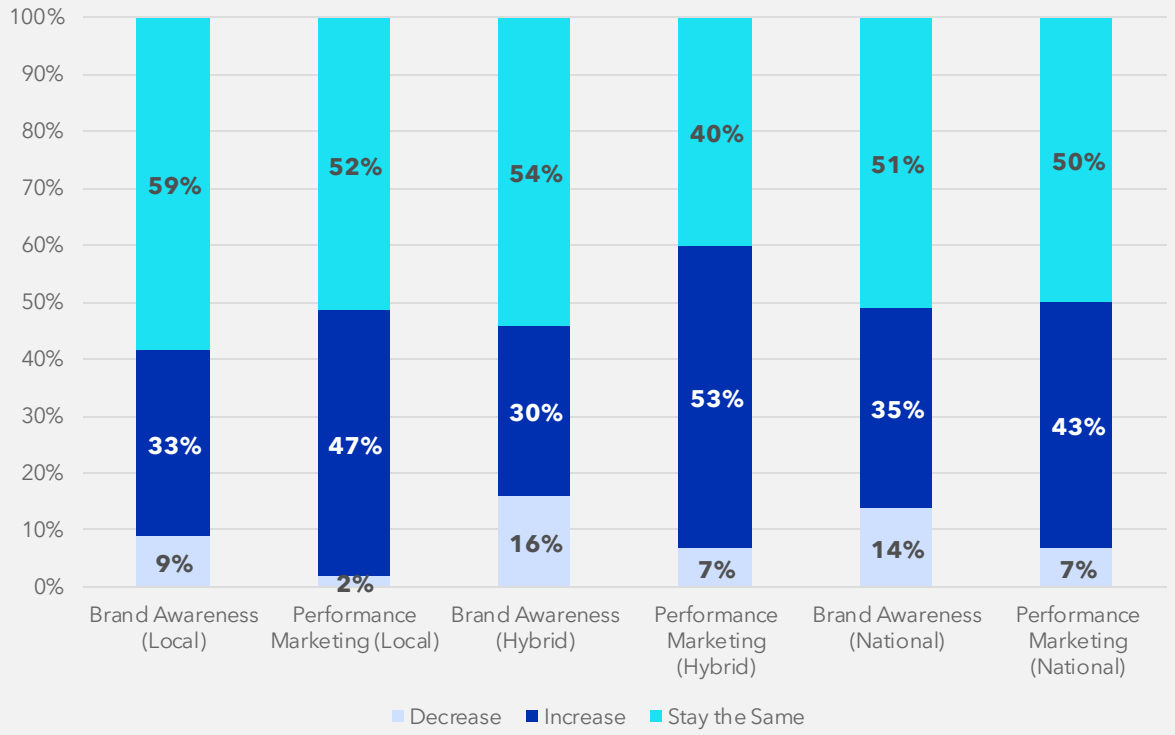
Change in Media Budget Allocation Over Next 12M



Looking ahead to the next 12 months, how do you expect your organization's media budget allocation to change for each of the following?

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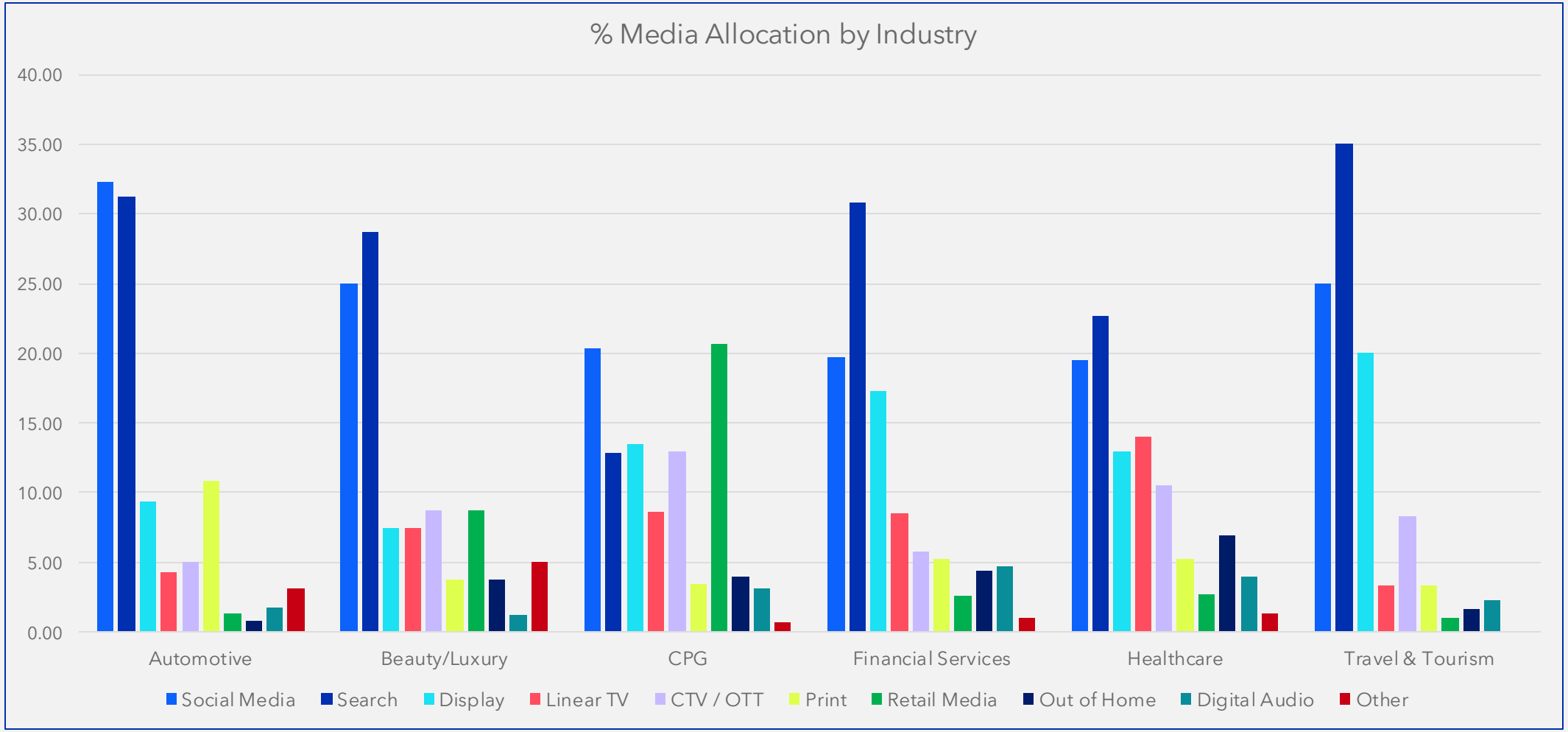
Retail Media is a standout for CPG, but lags across other industries



Precision at Scale: Enterprise Seeks Scale & Targeting for Impact

1 | Interdependence of Brand & Performance Marketing

Across sectors, buyers recognize brand awareness as a strategic priority, especially as performance marketing efficiency declines. However, there's growing pressure to demonstrate measurable impact and justify spend, even for upper-funnel initiatives.

*Brand vs Performance goals for media are nearly split at 44% and 56%, but performance related metrics are the top KPIs for **83%** of respondents*

End Markets

Enterprise customers value brand lift and still need measurable solutions

Mid-Market requires a balance between brand and performance

SMB is primary focused on performance

2 | Evolving Scale vs. Addressability

The old debate of scale vs addressable targeting is evolving. Marketers aren't just looking for reach, they're demanding precision at scale. While TV still offers mass awareness, digital and programmatic are increasingly the preferred tools for targeting the right audience at the right time. It's no longer just about how wide you cast the net, it's about how you make every impression count.

***49%** cite "**better targeting through publisher first-party data**" as their primary reason for using PMP*

End Markets

Enterprise Need advanced targeting, unique inventory, and robust performance measurement tools.

SMB/Mid-Market Smaller to mid-sized advertisers desire precision but struggle with quality data access.

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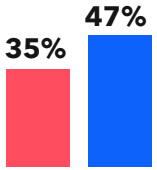
Mid-Market Advertisers Favor Direct Publisher Partnerships for Ad Transparency

3 | Demand for Transparency & Trust in Programmatic

While programmatic remains part of the media mix and is widely used for scale and retargeting, buyers are questioning its value, particularly when it comes to transparency (into which sites or apps are serving impressions), control, and measurable outcomes.



Limited control over ad placement and ad fraud/brand safety are top concerns of using programmatic media.

End Markets

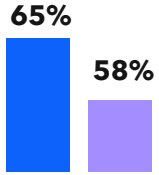
Enterprise advertisers seek transparency, data quality, and advanced features for reliable programmatic outcomes.

Mid-Market advertisers face programmatic transparency hurdles, needing better data, targeting, and measurement tools.

SMB advertisers struggle with data access, quality, and measurement, impacting trust.

4 | Rethinking & Valuing Direct Publisher Partnerships

Buyers aren't against working directly with publishers, but the value must clearly outweigh the complexity. They want more visibility into media performance, and direct relationships can reduce the black-box effect of programmatic and agency filters.



***65%** of buyers said they'd work directly with publishers if they offered access to unique audience segments, and **58%** said the same for real-time performance data.*

End Markets

Enterprise want transparency, data access, and control through tech, not direct relationships

Mid-Market seek better control and insight through tech solutions or PMPs.

SMB advertisers don't prioritize building direct publisher relationships currently.

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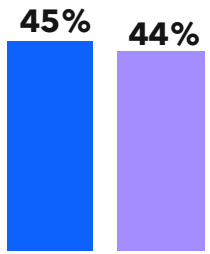
Mid-Market & Enterprise Advertisers Struggle with Local Media Inefficiency and Data Gaps

5 | Complexity & Inefficiency of Local/Regional Buying

Local media buying is more complex and less efficient than national campaigns; challenges persist with localized creative and inconsistent audience data outside core markets.



*The top challenges preventing teams from investing more in local/regional media are unclear ROI from local media **(45%)** and limited access to local audience data **(44%)**.*

End Markets

Enterprise and Mid-Market brands & agencies are the most focused on local/regional buying, while SMB advertisers are limited by budgets

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Big Budgets, Bigger Complexity: Mid-Market & Enterprise Race to Advanced Measurement

6 | Hungry for Unified Measurement

For years, local TV and digital data have lived in separate budgets. But demand-side marketers are now calling for a unified view. Without it, they struggle to connect the impact of TV on digital conversions, leaving money on the table and strategies fragmented.

of respondents indicated fragmented data across platforms is the biggest challenge in accessing real-time performance data

Market Substantiation

Brands voiced concerns with ROI and inability to effectively measure impact, while agencies responded they are already "Very Confident" in their attribution methods (MMA, MMM)

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Ad & Data Product Concepts

Informed by Primary Research Findings

Primary research findings have informed five product concept opportunities for Hearst

Premium Audience & Content PMP

Premium, brand-safe ad packages across assets, layered with exclusive, high-intent audience segments built via the Hearst Audience Graph and offered via PMP deals.

Enable Local Broadcast via Addressable TV

Enablement of precisely targeted audience within Hearst's curated TV and local broadcast TV inventory leveraging data and execution partnerships with MVPDs for privacy-compliant addressable targeting.

Unified Audience Graph & Activation Platform

A centralized programmatic platform offering advertisers and agencies self-service access to plan, buy, manage, and activate campaigns across all Hearst inventory.

This work is foundational to the additional product concepts

National + Regional Media Bundles

Alignment of newspaper and TV stations with prioritized markets and integration of Hearst Unified Audience Graph + Activation Platform to deliver cross-channel local campaigns.

Unified Measurement & Attribution Suite

Suite of reporting tools providing unified measurement and integrated ROI metrics across Hearst-led omnichannel campaigns.

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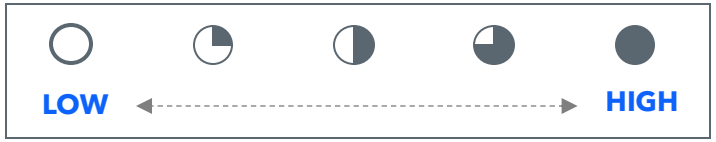
Comparison of Product Concepts:
Alignment Potential by Segment



Product Concepts	**Relevance to Hearst Advertising Clients**				
	Small Market	**Middle Market**	**Enterprise**	**Agency Buyer**	**Brand Buyer**
Unified Audience Graph & Activation Platform	●	◕	◕	◑	●
Premium Audience & Content PMP	◑	◕	◕	◑	◕
National + Regional Media Bundles	◑	●	●	◑	◕
Enable Local Broadcast via Addressable TV	◕	◑	◑	◑	◔
Unified Measurement & Attribution Suite	◕	◕	◕	○	●

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Unified Audience Graph & Activation Platform

WHAT WE HEARD

- ✓ **59% of respondents** listed advanced targeting capabilities as most valuable capability
- ✓ **70% surveyed** ranked data/targeting capabilities as a top factor influencing buying decisions
- ✓ Most advertisers are managing **at least some buying in-house** with plans to manage more

OUR PROPOSED SOLUTION

*A **centralized programmatic platform** that offers in-house advertisers self-service access to plan, buy, manage, and activate campaigns across **Hearst's digital, print, TV, and CTV** inventory. The **Hearst Audience Graph** for precise targeting and integrated yield optimization tools maximize audience reach for the advertiser and profitability for Hearst. Secure API access allows agencies to leverage data in owned platforms.*

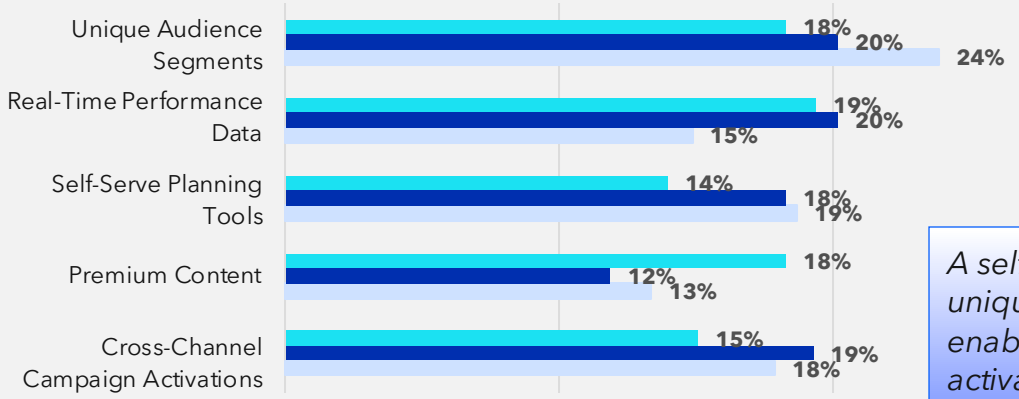
MARKET SEGMENT CONSIDERATIONS

Factors in Buying Media Directly from Publishers

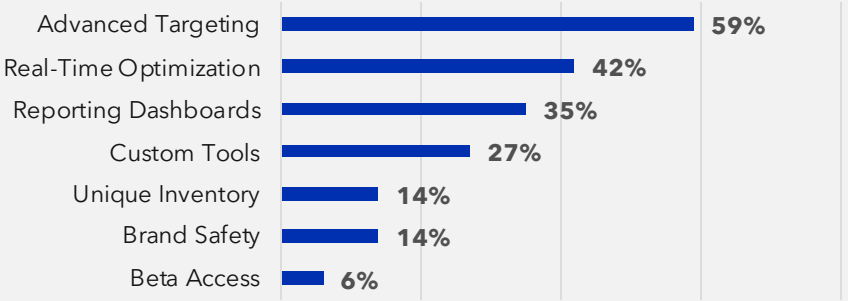
Small Brand Top Needs
- Unique Audiences
- Self-Serve Tools
- Cross-Channel Activations

Mid-Market Brand Top Needs
- Unique Audiences
- Self-Serve Tools
- Cross-Channel Activations
- Real-Time Performance Data

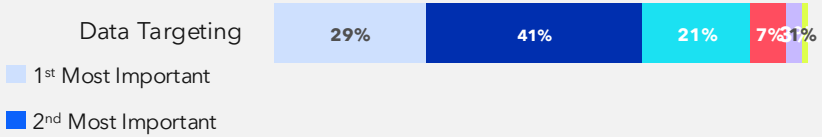
Large Brand Top Needs
- Unique Audiences
- Real-Time Performance Data
- Premium Content



Most valued platform features for a publisher solution to deliver against



Top factor of strategic importance when making media buying investment decisions



"It would be valuable to have a single platform where I can do planning and buying in one place…not bounce between multiple tools that don't talk to each other."

A self-serve platform, built on unique Hearst audiences and enabling cross-channel activations would meet the top 3 needs of small and mid-market advertisers.

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Premium Audience & Content PMP

WHAT WE HEARD

- ✓ Advertisers listed **unique audience segments, premium content and real-time data** as priority factors in buying publisher-direct media and/or using a PMP
- ✓ **Limited control over where ads are placed, and brand safety and fraud** concerns are the top concerns about programmatic media

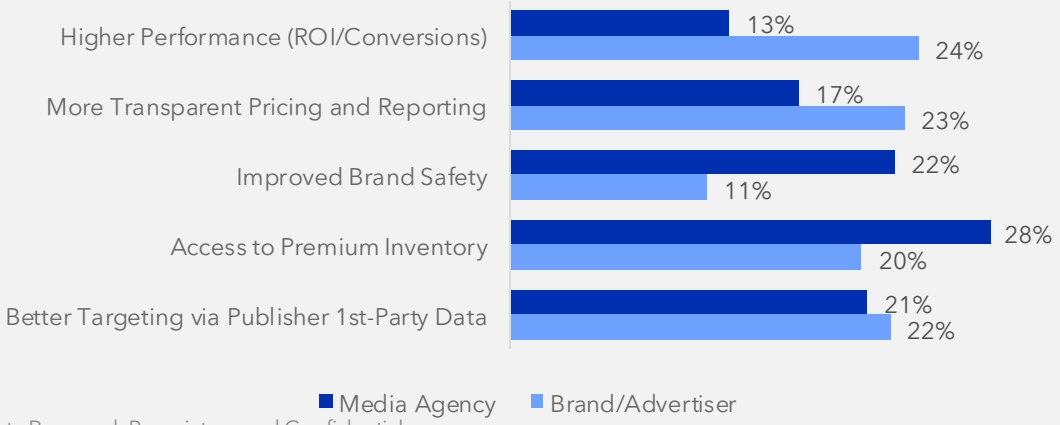
OUR PROPOSED SOLUTION

*Hearst-curated **premium, brand-safe inventory packages** across its assets, layered with **exclusive, high-intent audience segments** offered via **PMP deals** for guaranteed access, first-look opportunities, and enhanced performance. Additionally, production services can help advertisers with enhanced creative aligned to the unique proprietary audiences owned by Hearst.*

MARKET SEGMENT CONSIDERATIONS

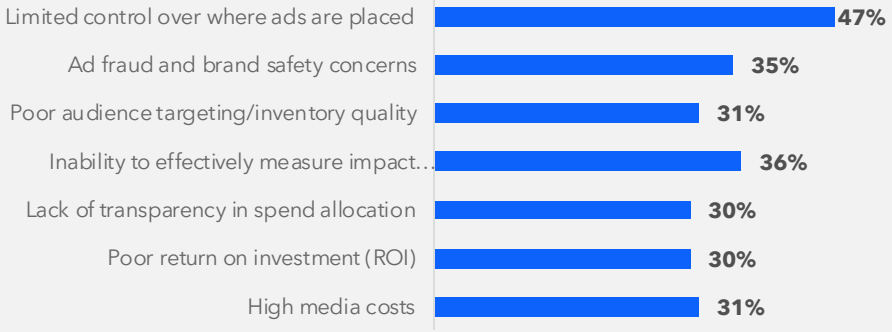
Brand buyers are looking toward PMPs for more transparency and higher performance.

What are your primary reasons for using Private Marketplaces (PMP) for programmatic media?

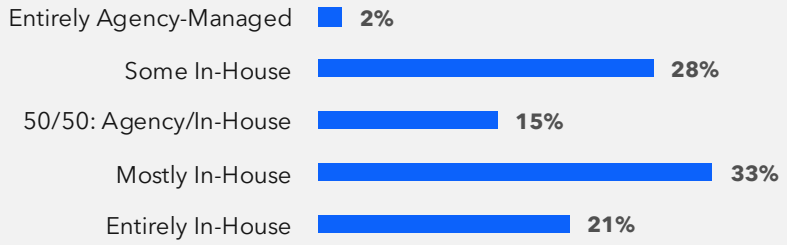


"That's why we advertise on the Disney Group for programmatic. They allow us to hit a lot of different [audiences]. I wish there were a lot more [Disney's]"

What are your biggest concerns with using programmatic media?



How is your media buying currently managed?



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National + Regional Media Bundles

WHAT WE HEARD

- ✓ **54% of advertisers would be very or extremely likely** to use better programmatic solutions for regional campaigns
- ✓ **Most large advertisers are simply adding geo-targeting** to national campaigns but seek to use tailored creative for some campaigns
- ✓ **Nearly half** of respondents said limited local audience data was their biggest impediment to additional local media investment; and **over half** stated that stronger data would drive increased local media budgets

PROPOSED SOLUTION

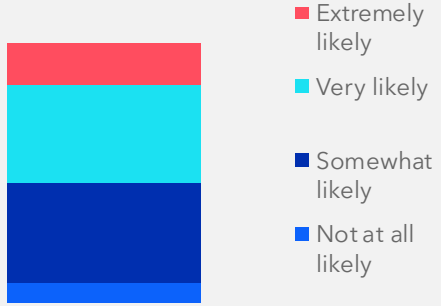
*Alignment of newspaper and TV stations within **strategically important markets** and integration of **Hearst Unified Audience Graph & Activation Platform** to deliver cross-channel campaigns **leveraging truly local/regional inventory**. Additionally, local media can be **optimized across local markets** and with national campaigns.*

MARKET SEGMENT CONSIDERATIONS

Which best describes your organization's approach to local or regional advertising?

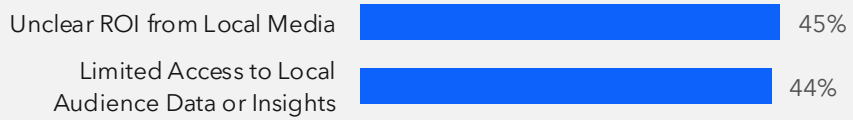
Large ($10M+) advertisers rely on ineffective geo-targeting. Truly local inventory offers increased precision and relevance in target markets.

If programmatic platforms made it easier to activate localized/regionalized campaigns, how likely would you be to use them?

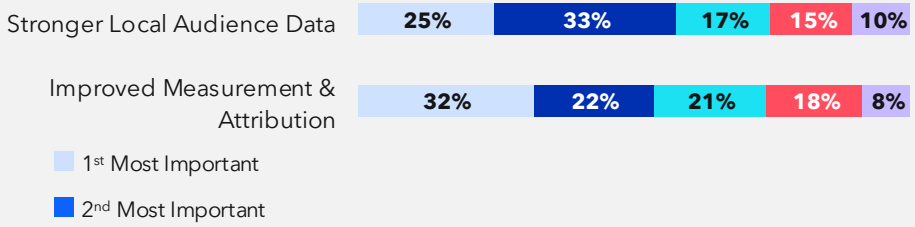


"We have found geo-filters to be inaccurate and inefficient. We would love a way to find guaranteed and transparent inventory at the DMA level."

What are the biggest challenges in buying local/regional media?



Please rank the following factors in terms of their importance in increasing your investment in local/regional media



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Enable Local Broadcast via Addressable TV

WHAT WE HEARD

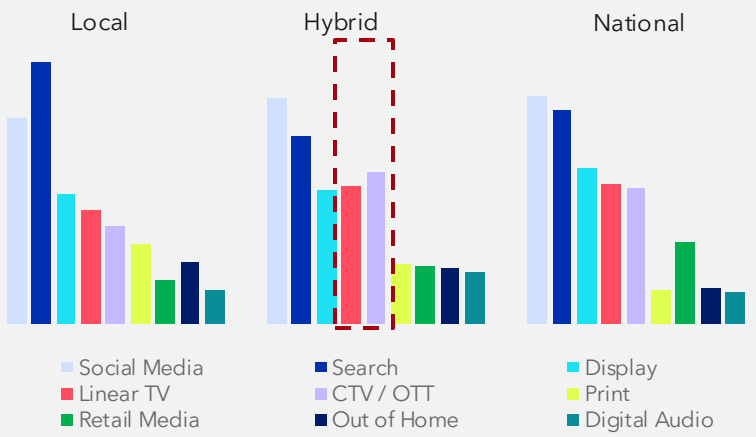
- ✓ Linear and CTV budgets still command a **high percent of media budgets** for all advertisers
- ✓ As linear TV budgets remain flat or down, **CTV budgets are seeing increases**
- ✓ **Targeting, measurement and personalization capabilities** are among the leading reasons advertisers are shifting budgets from Linear TV to CTV/OTT
- ✓ CTV and Linear TV buys are more **likely to be managed by agencies** as a sizable piece of the mix

PROPOSED SOLUTION

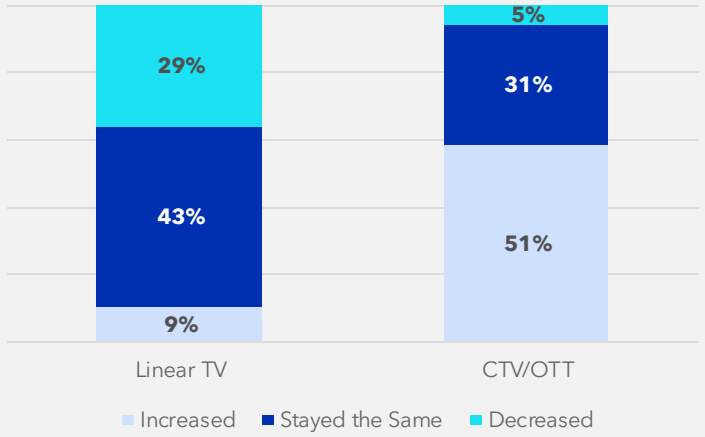
*A product enabling advertisers to **precisely target audiences** within Hearst's **curated CTV and local broadcast TV** inventory by leveraging data and execution partnerships with MVPDs to enable **privacy-compliant addressable** advertising capabilities.*

MARKET SEGMENT CONSIDERATIONS

Linear and CTV are particularly significant investments for Hybrid advertisers.

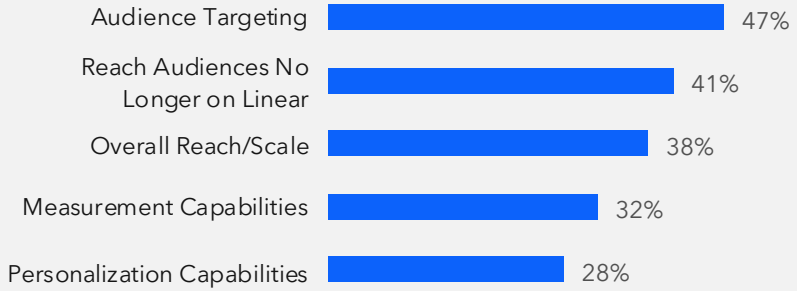


Over the past 12 months, how has your organization's media budget allocation changed for each of the following channels?



"To me, if you've got a sizable budget, it feels like the sweet spot is finding more and more addressable audiences through CTV, broadcast has kind of been what's been falling by the wayside."

Leading reasons for shifting Linear TV budgets to CTV/OTT (IAB Study)



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Unified Measurement & Attribution Suite

WHAT WE HEARD

- ✓ **A majority of advertisers are exploring or using attribution** but lack confidence in accuracy of current approaches
- ✓ **Access to real-time data is a top priority** for all advertisers
- ✓ **Respondents cite data fragmentation** across platforms/partners as their biggest challenge with implementing or using attribution methods.
- ✓ **KPIs vary across advertisers** by size, type and business goal

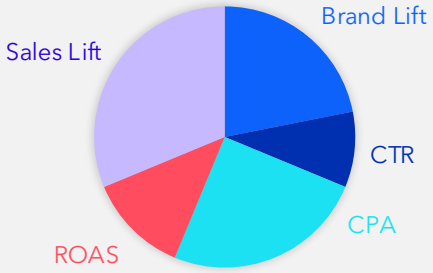
OUR PROPOSED SOLUTION

A suite of reporting tools providing unified measurement and clear ROI metrics across Hearst, omni-channel campaigns. *To measure broadcast TV contribution requires securing exposure data through MVPD/CTV partnerships. (Reach and frequency + outcomes)*

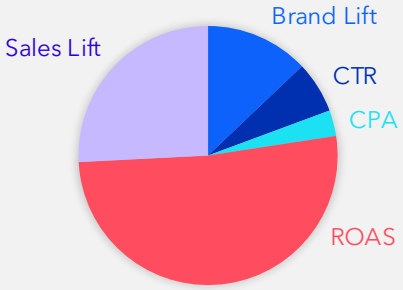
WHAT HEARST SHOULD CONSIDER

The Most important KPIs Differ by Industry

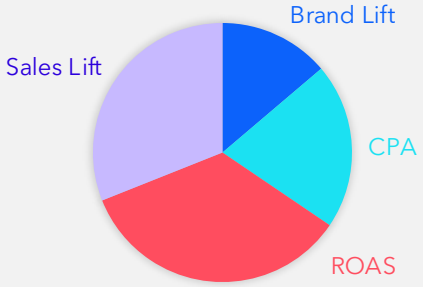
A unified measurement suite delivers flexible metrics directly to brands across industry-specific needs.



CPG

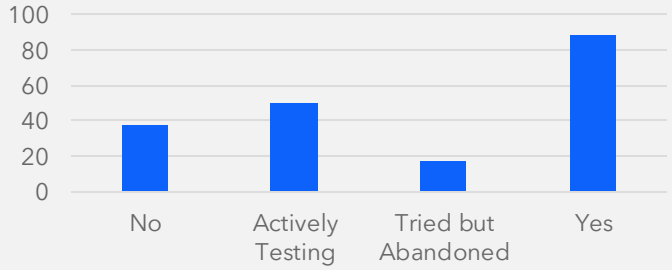


HEALTHCARE

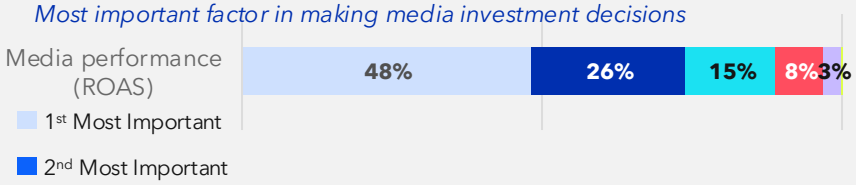


FINANCIAL SERVICES

Does your organization currently use attribution methods to evaluate media performance?

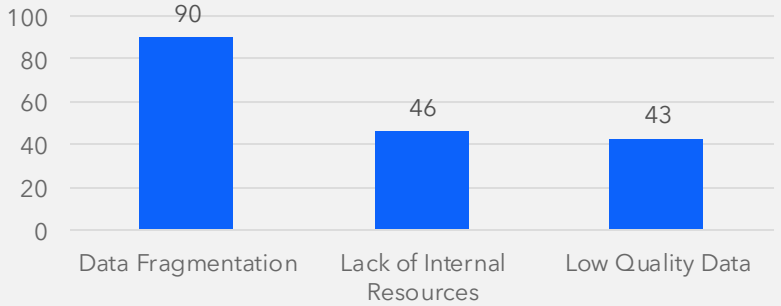


Most important factor in making media investment decisions



"Right now…it's just pulling from all these varied sources…and it never seems to line up."

What are the biggest challenges with implementing or using attribution methods?



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Tactical Execution Enablement Direction

Unified Audience Graph & Activation Platform | Executional Considerations

Hearst Rationale

- Activate Audience Graph that has cross-channel and cross-market data and inventory
- Unify disjointed company-wide measurement & attribution capabilities
- Leverage data as a shared asset across business units

How it Serves the Market

- Integrating cross-channel measurement and attribution into a single programmatic media platform addresses key advertiser pain points, and could help capture share from disconnected competitors
- Unlock a unique hyper-targeted omni-channel campaign capability

Product Components

- Inventory Planning & Yield Optimization: Integrated algorithms that analyze audience demand, inventory availability, pricing models, and campaign goals to recommend optimal inventory allocation and pricing, across all Hearst Inventory
- Data Flow Feedback Loop: Yield optimization algorithm that tracks campaign performance data for continuous improvement
- Self-service for Clients:
    - Advertisers and agencies can build custom audience segments based on Hearst's data
    - Agencies can send targeting instructions for activation, via APIs

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Premium Audience & Content PMP | Executional Considerations

Hearst Rationale

- Authority in premium content and platform that improve targetability, attribution, and transparency. This will allow Hearst to command premium pricing
- Combined and enhanced national and local audience data across Hearst properties

How it Serves the Market

- Advertisers prioritize premium content and demand features that improve targetability, attribution, and transparency

Product Components

- Audience Curation: exclusive segments created for advertisers
- Inventory Packaging: Packages of premium inventory (e.g., high-visibility placements, specific content sections, guaranteed impressions) across Hearst properties
- Small Advertiser Focus: Hearst creative agencies (e.g., Story Studio) can create turnkey content for insertion into the PMP

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National + Regional Media Bundles | Executional Considerations

Hearst Rationale

- Hearst has strong existing newspaper and TV footprints in key markets, and a unified programmatic platform would be a unique local offering
- Hearst can serve targeted ads alongside relevant local content to drive high engagement and actions

How it Serves the Market

- Programmatic advertisers currently rely on fragmented solutions and geo-targeting layers they don't trust; packaged and targeted truly local inventory represents a valuable alternative
- Enriched data and segments can command premium pricing

Product Components

- Data Enrichment: Local media groups can enhance audience profile data with location, interest, and life event insights to create segments
- Audience Matching: Advertiser-defined audiences can be securely matched with household data within the MVPD environment
- Data partnership and platform integration with MVPDs
- Campaign Facilitation: MVPDs provide anonymized household data and the technical infrastructure for ad delivery, while advertisers provide audience definitions

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Enable Local Broadcast via Addressable TV | Executional Considerations

Hearst Rationale

- Local TV is a historic strength for Hearst
- A local television solution is a complementary capability to Newspaper and Magazines' footprints

How it Serves the Market

- Addressable and measurable local solution provides a competitive edge against Google and Meta
- Integrating cross-channel measurement and attribution into a single programmatic media platform addresses key advertiser pain points

Product Components

- Data partnership and platform integration with MVPDs
- Campaign Facilitation: MVPDs provide anonymized household data and the technical infrastructure for ad delivery, while advertisers provide audience definitions

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Unified Measurement & Attribution Suite | Executional Considerations

Hearst Rationale

- Bridge the measurement gap across siloed media properties, so advertisers can see impact of their campaigns across Consumer Media
- Empower advertisers to adjust budgets cross-channel

How it Serves the Market

- Market demands data and insights that optimize spend cross-platform and help marketers prove ROI
- Unified suite offering real-time dashboards and optimization tools would be industry-leading

Product Components

- Data Acquisition: Platform ingests digital web data and direct data feeds from MVPDs/CTV providers
- Reporting Dashboard: Advertisers and agencies can view unified campaign performance metrics, including reach, frequency, and conversion

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Next Steps

A Path Forward for Hearst

Recommended Actions to Further Evaluate the Research-Supported Ad & Data Product Concepts

To translate the concepts into revenue generating Hearst products, Slalom recommends the following initiatives and next steps

Alignment with existing Strategic Initiatives Roadmap

- Evaluate each identified product concept with 2025+ strategic plans or roadmaps to determine fit and alignment with business objectives
- Identify inherent overlaps with existing internal initiatives where opportunities to incorporate concepts is possible

Business Case Planning & Analysis by Product Concept

- Conduct thorough business case planning for each concept to validate and expand upon initial expectations.
- Business case analysis to include:
  - Revenue Upside Evaluation
  - Existing Products Gap Analysis
  - Buy vs. Build Assessment
  - Hearst Investment Planning & Projection

MVP Definition & Activation Plan

- Following prioritization, define the activation plan for chosen concept(s)
- Activation planning to include MVP definition, technology evaluation, and change management requirements for internal adoption

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Thank You!

Appendix

Research Approach Recap & Themes

Areas of Focus

Channel Mix

How and why is channel mix changing for advertisers

Buying Process & In-Housing

Who is influencing and making media buying decisions

Programmatic Marketplaces

Where is/will programmatic media being/be bought

Data & Measurement

What KPIs do advertisers need and how can publishers support them

National vs Local

What are the specific needs of local/regional advertisers

Product Opportunities

How can a publisher differentiate it's offering

Example Questions

- *Thinking about your current overall media budget, approximately what percentage is allocated to each of the following channels?*
- *In the past 12 month, how has your organization's media allocation changed for each of the following channels?*

- *How do you approach balancing national reach with local targeting in your campaigns? What factors play into your decision-making for national vs. local buys?*
- *What challenges do you face in balancing national and local strategies?*

- Are there any new tools, services, or features you think would make your media buying process more efficient or effective?

Approach to Quantitative Analysis

The quantitative survey gives us a unique data set to help answer Hearst specific questions around market demand for current and future Hearst advertising offerings for targeted customer segments and identify potential opportunities to supplement the current roadmap. We are approaching the analysis from two angles to deliver broad market insights as well as target focused learnings and specific opportunities.

Key Survey Findings

Highlight full market findings that answer key questions to inform Hearst initiative and investment planning

- What does the media mix look like today and how is it expected to change tomorrow?
- How are budgets shifting for advertisers?
- What capabilities are advertisers looking for in publisher solutions?
- What are the measurement and reporting requirements?
- How do needs compare/differ at national vs local levels?

Market Opportunities

Overview directional market size for advertiser segments and identify specific opportunities aligned to market segments (size, industry, geographical focus)

- Are there capabilities and offerings that align to the needs of specific segments?
- How might Hearst prioritize investments for advertiser segments that can deliver the highest ROI?
- *How can these insights support or enhance Hearst's existing development roadmap? (Continued input and discussion can help inform this)*

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Evolving Pain Points in Media Strategy: Buyer Insights from Qualitative Interviews

Foundational Challenges in Media Strategy

- **Measurement & Attribution:** Difficulty measuring impact across platforms; cross-channel effectiveness remains unclear.
- **Programmatic Media Performance**: Viewed as underperforming and lacking transparency.
- **Data integration and Quality:** Difficulties in leveraging first-party and third-party data effectively.
- **Local vs. National Strategy Balance**: Struggles to balance tailored local efforts with broader national goals.
- **Frustrations with Agencies**: Lack of tailored solutions and measurable results.

Emerging Needs & Deeper Pain Points

- **Fragmentation across Platforms:** There's a strong appetite for centralized, cross-channel planning tools that are integrated and reduce manual coordination.
- **Local Buying Challenges**: Described as slow, inconsistent, and hard to scale due to lack of tools and siloed market execution.
- **Inventory & Targeting Gaps**: Need for higher-quality supply and more precise audience segments in open exchanges.
- **Measurement Blind Spots**: Persistent frustration with cross-platform ROI clarity, especially in omnichannel campaigns.

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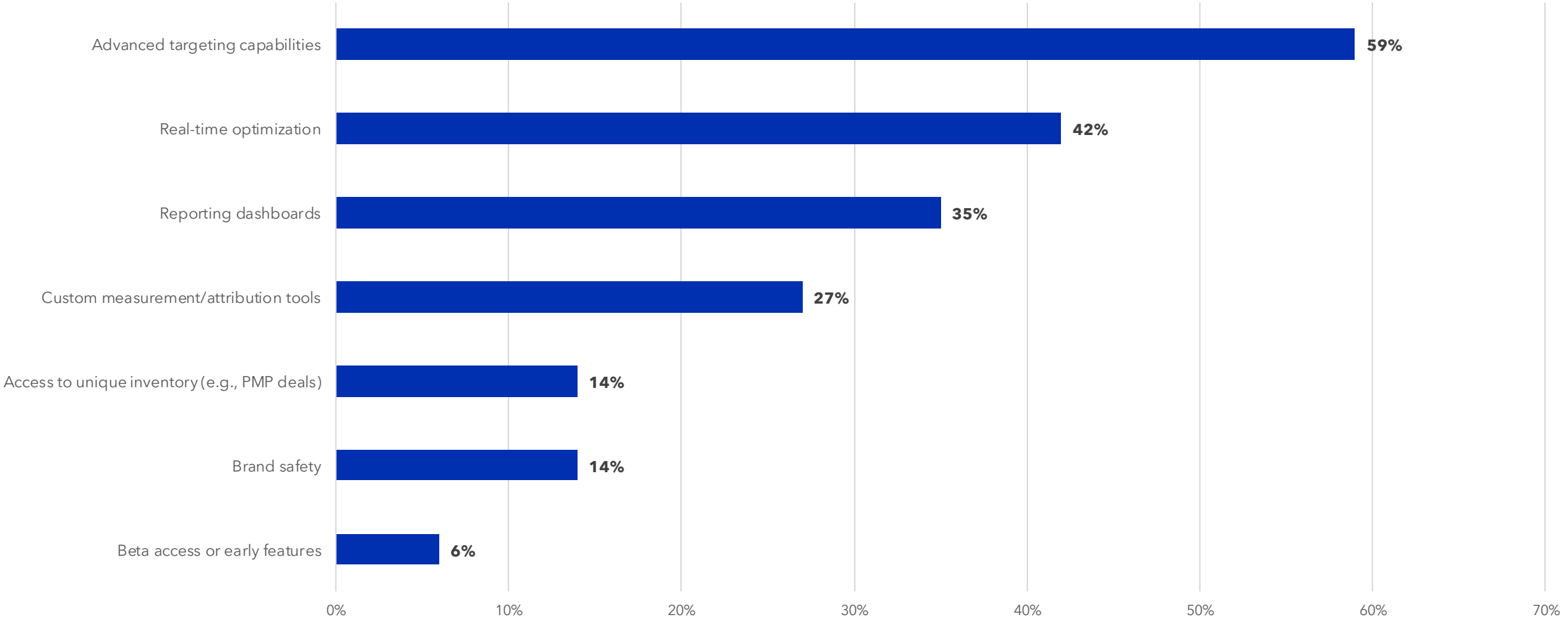
Quantitative Research Survey Data Insights

Advertisers Prioritize Solutions That Can Prove Performance & Provide Advanced Targeting



Which of the following features offered by AdTech/data platforms do you find most valuable?

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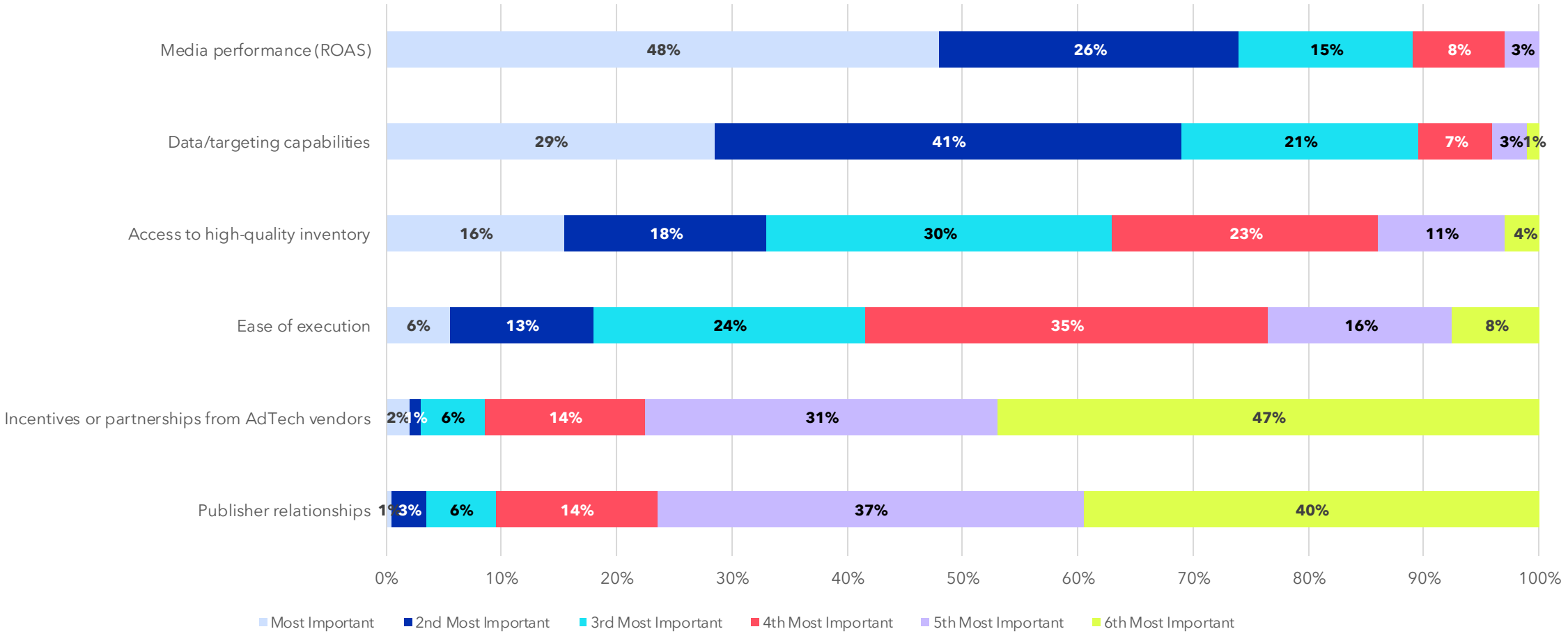
Media Must Deliver: Buyers Demand Targeting, Transparency, and Efficiency



Please rank the following factors in terms of their strategic importance when making media buying investment decisions

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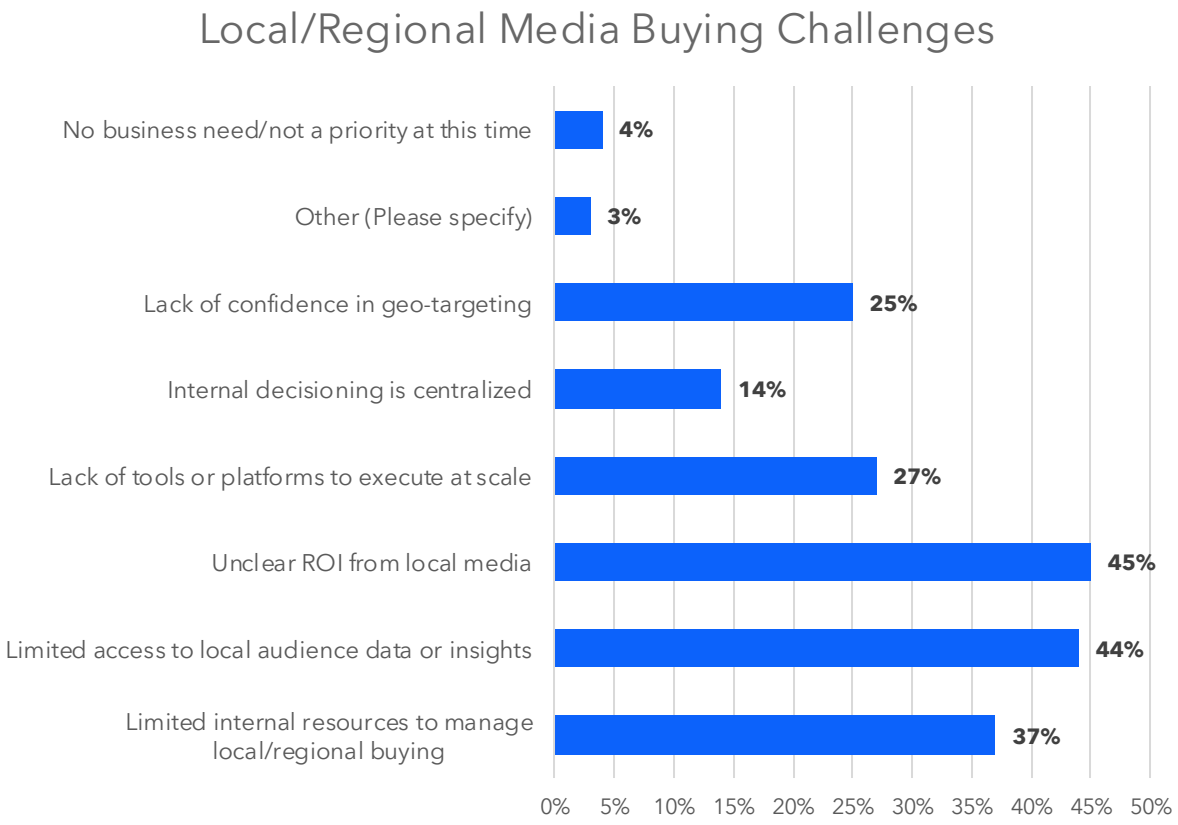
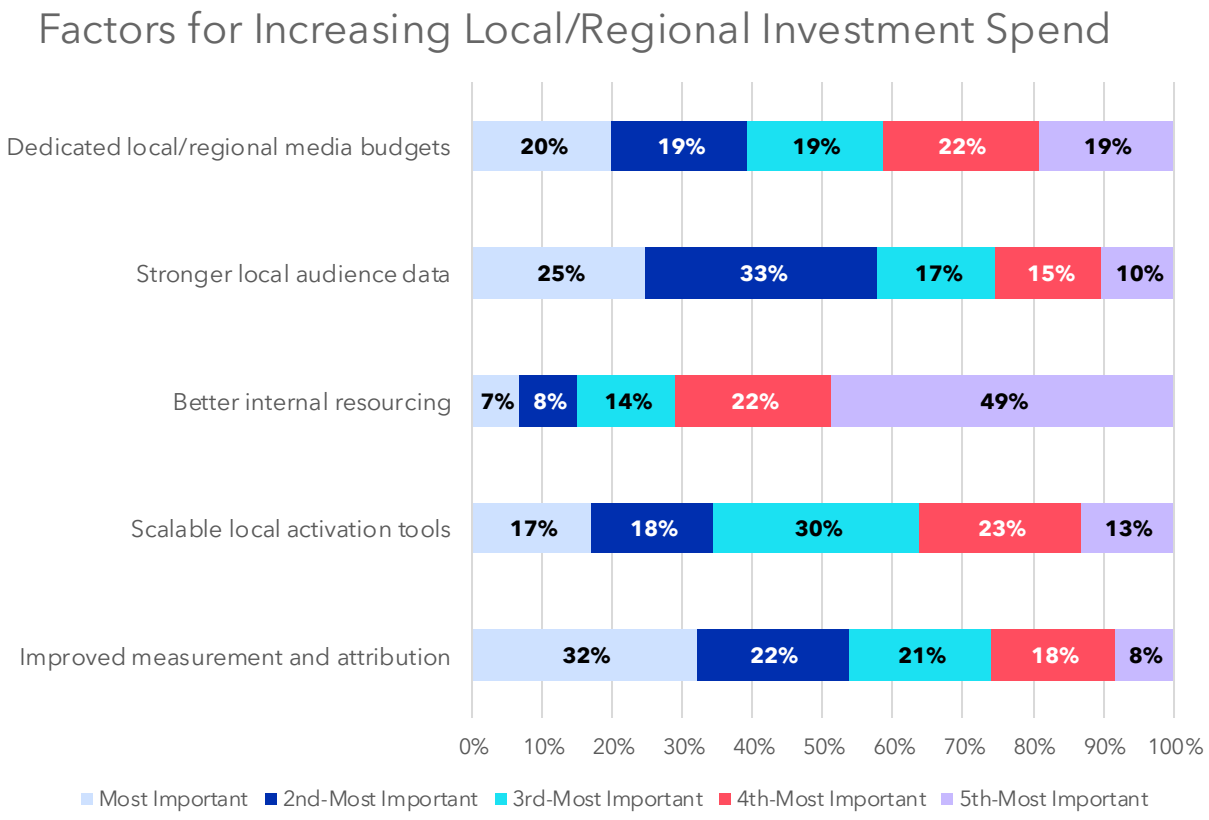
Regional Buying Remains Painful: Lack of Scale, Metrics, and Clarity Stall Spend



What are the biggest challenges in buying local/regional media?



Please rank the following factors in terms of their importance in increasing your investment in local/regional media

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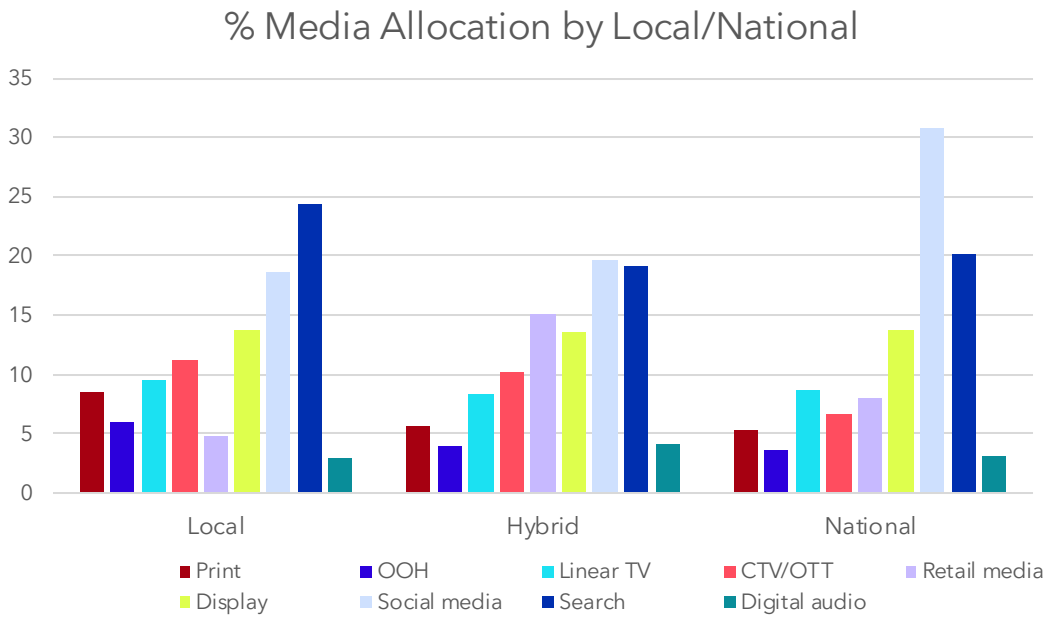
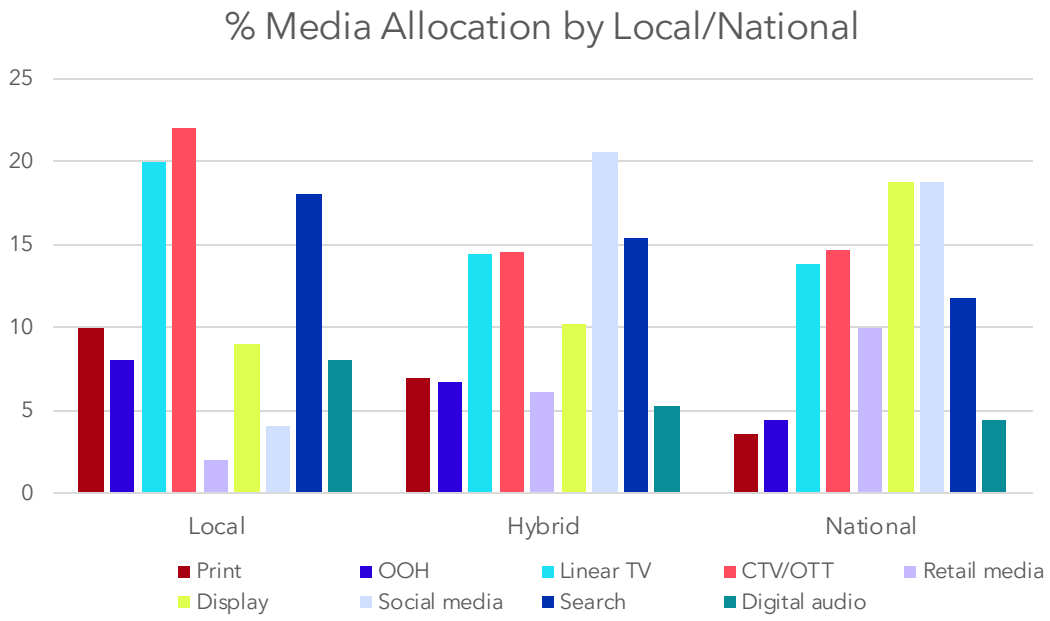
Combined Hearst assets represent a higher allocation than either search or social

Brand



Local n = 50 | Hybrid n = 44 | National n = 41

Agency



Local n = 8 | Hybrid n = 26 | National n = 31

What percentage of your organization's current media budget is allocated to each of the following channels?

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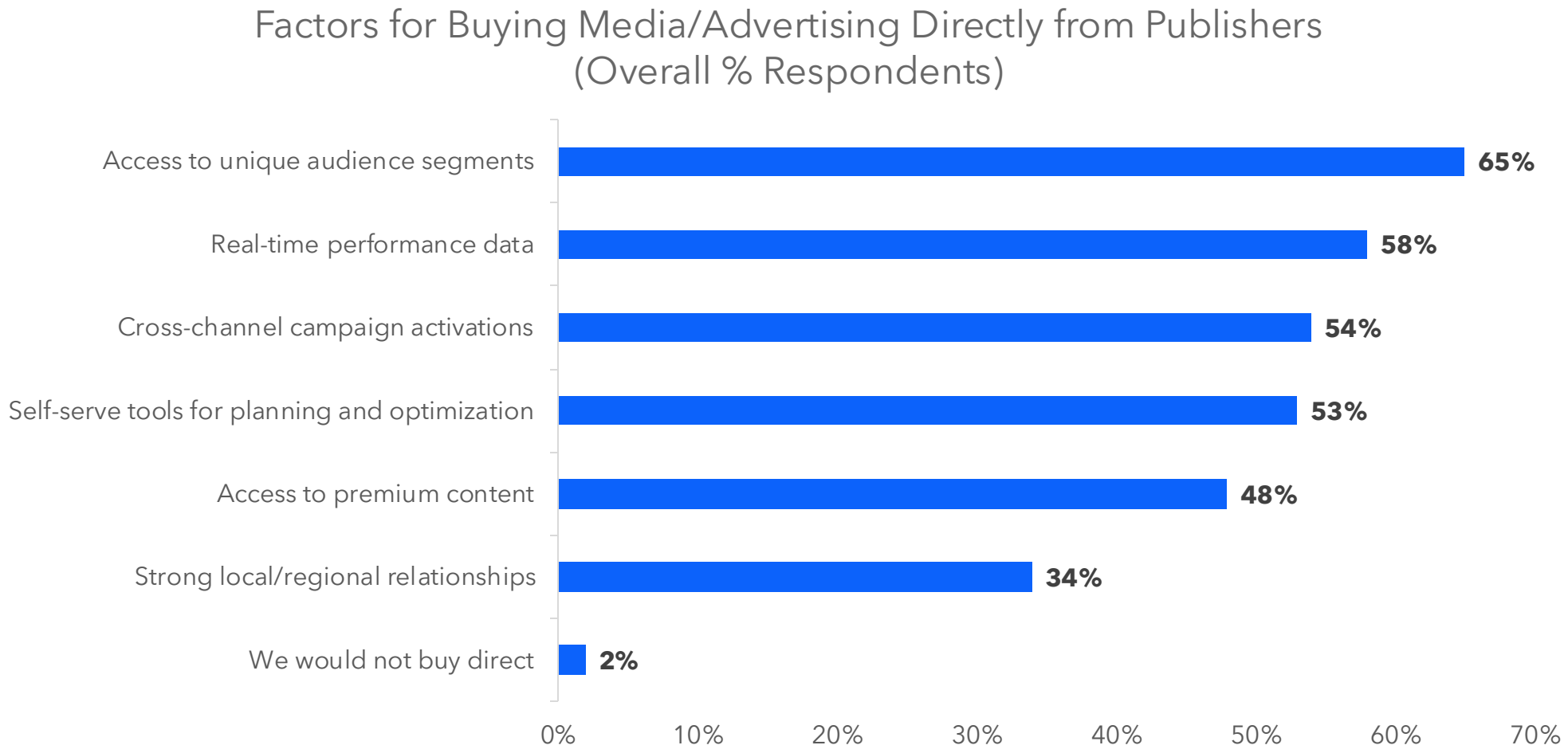
Unlocking Direct Demand: What Motivates Buyers

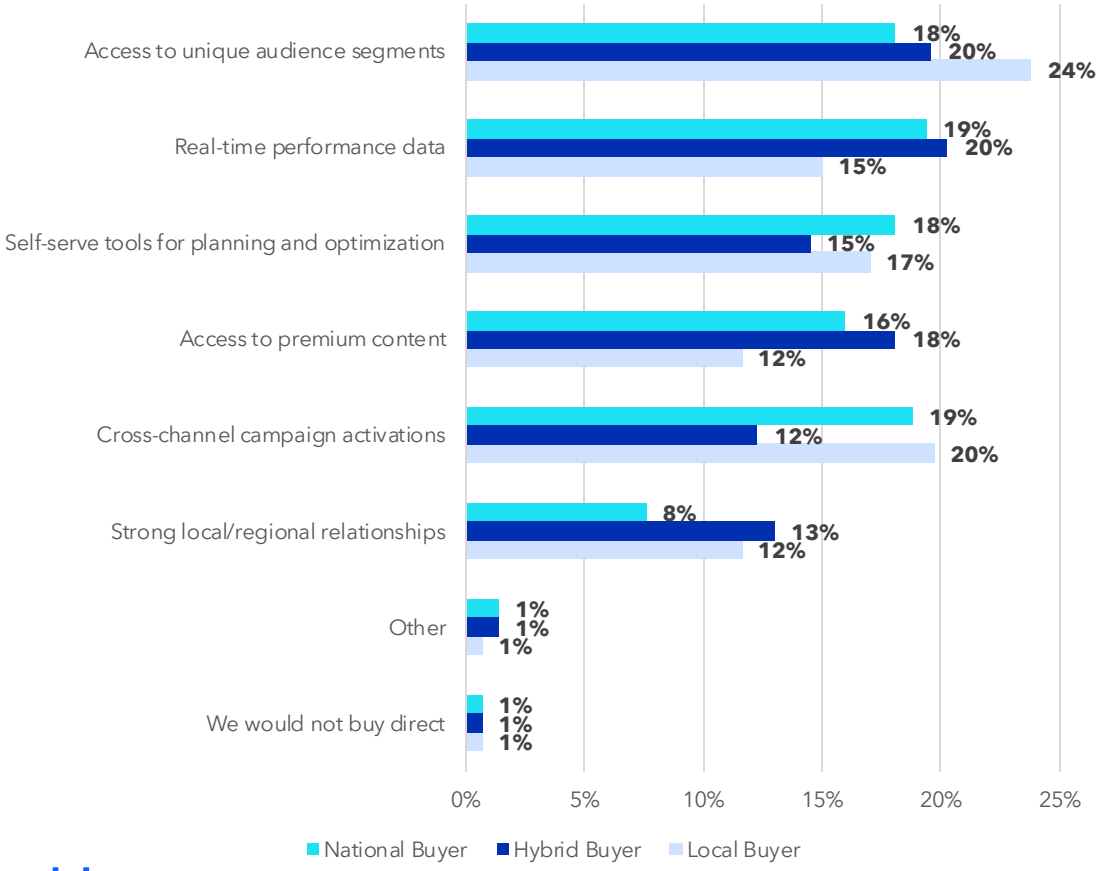
Access to unique audiences and real-time performance data are the top incentives for going direct.



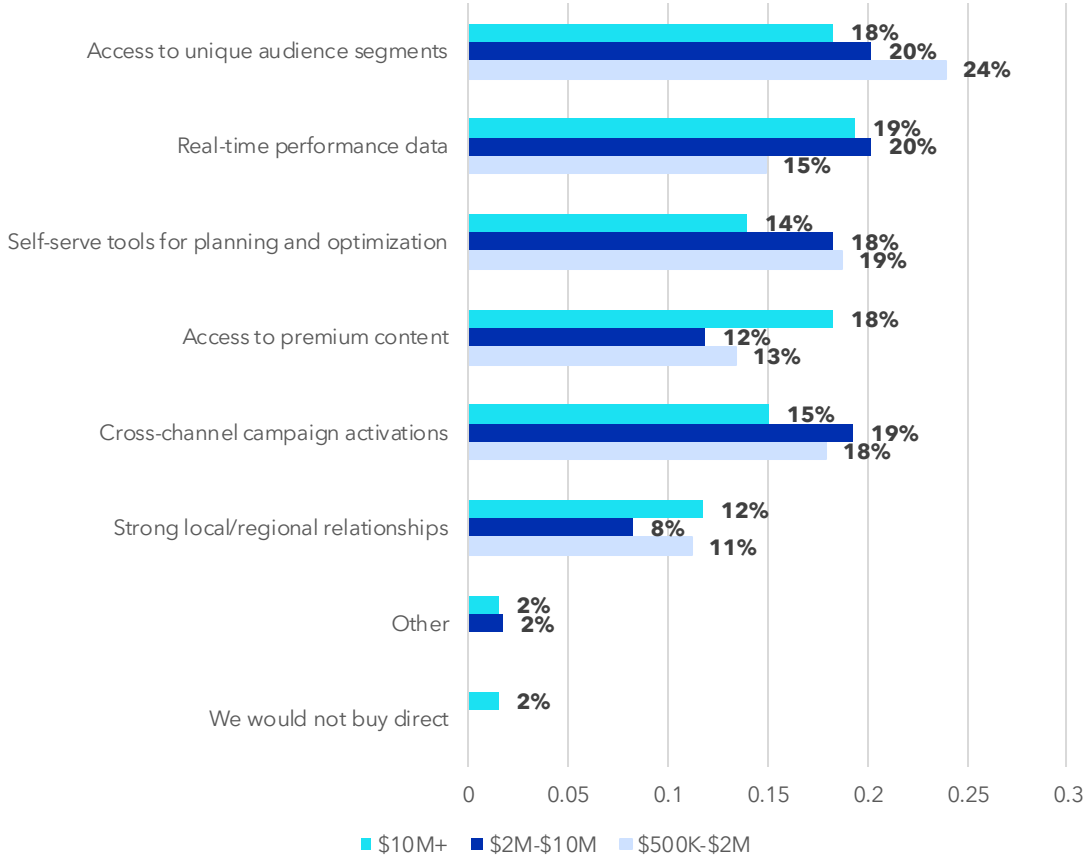
Audience Precision Drives Direct Publisher Investments

Brands prioritize unique audience segments, premium content, and real-time data—Hearst's exclusive, high-intent inventory solutions meet their highest demands.

Factors for Buying Media/Advertising Directly from Publishers (by Buyer)



Factors for Buying Media/Advertising Directly from Publishers (by Spend)



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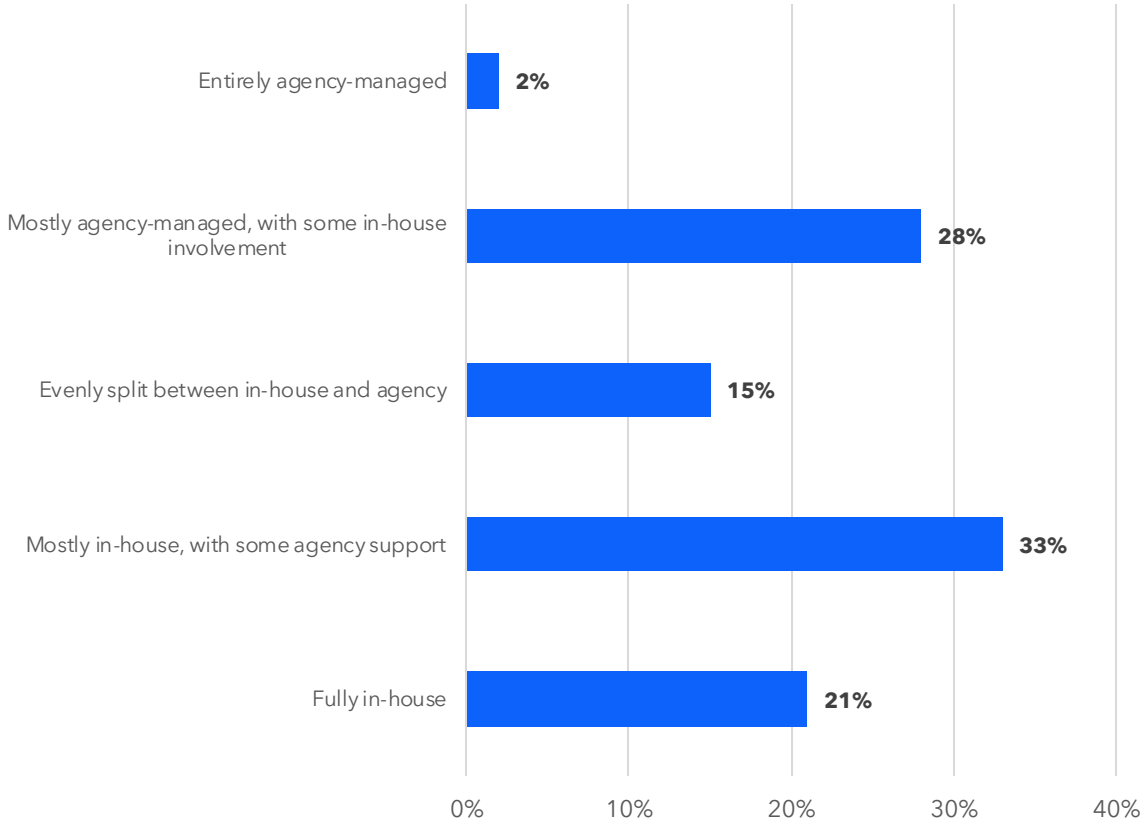
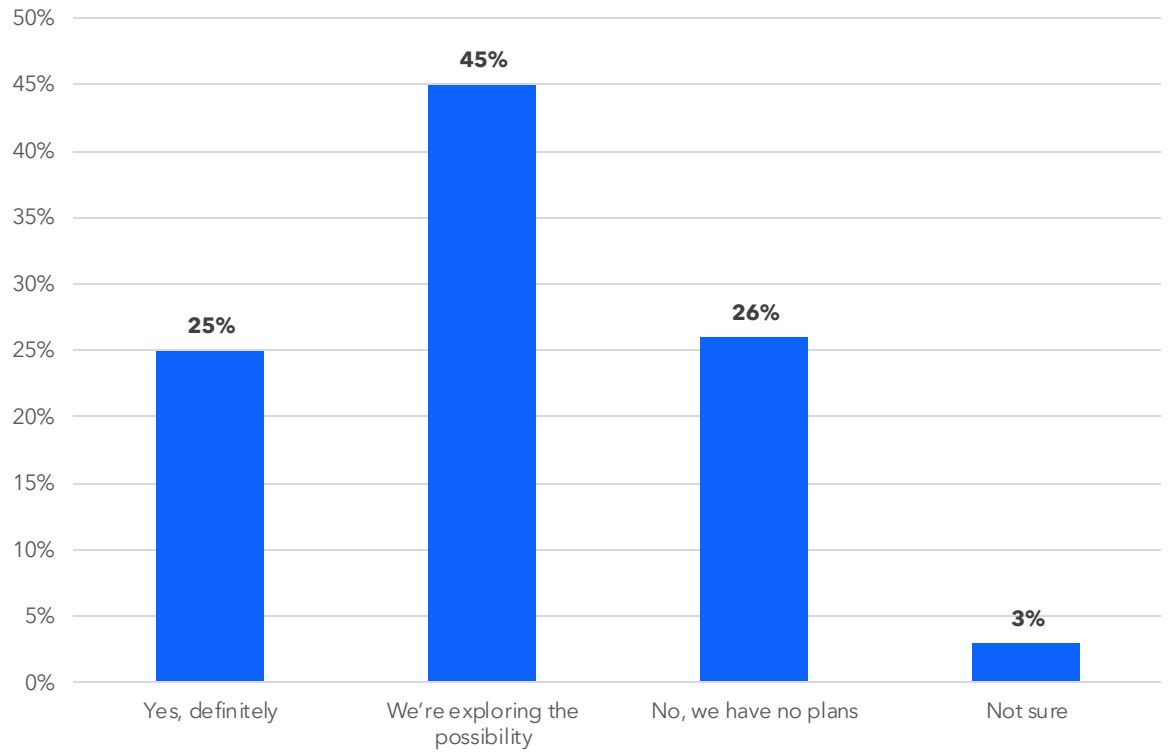
Many brands are starting to manage some or all media buying in-house

Current Management of Media Buys



How is your media buying currently managed?

Plans to Manage Media Buying In-House Over Next 12M



Is your organization planning to manage media buying in-house over the next 12 months?

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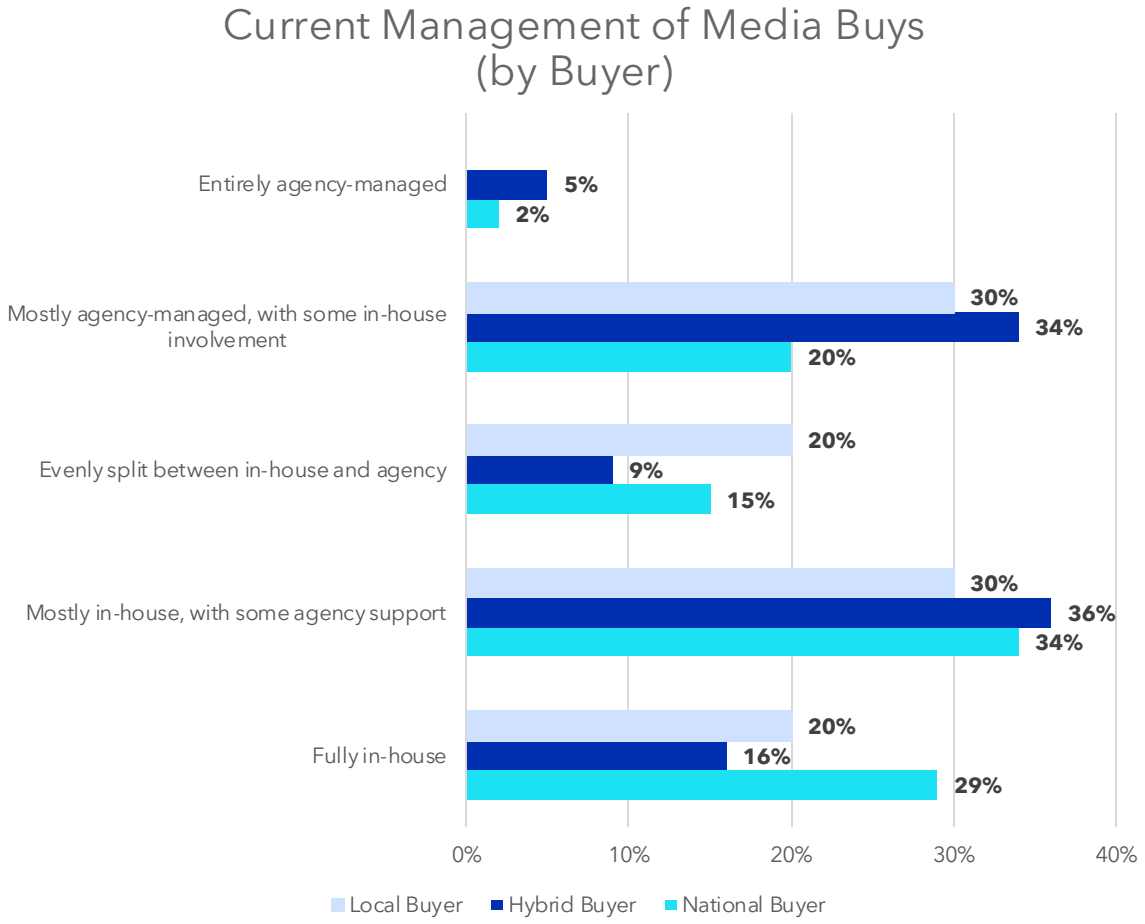
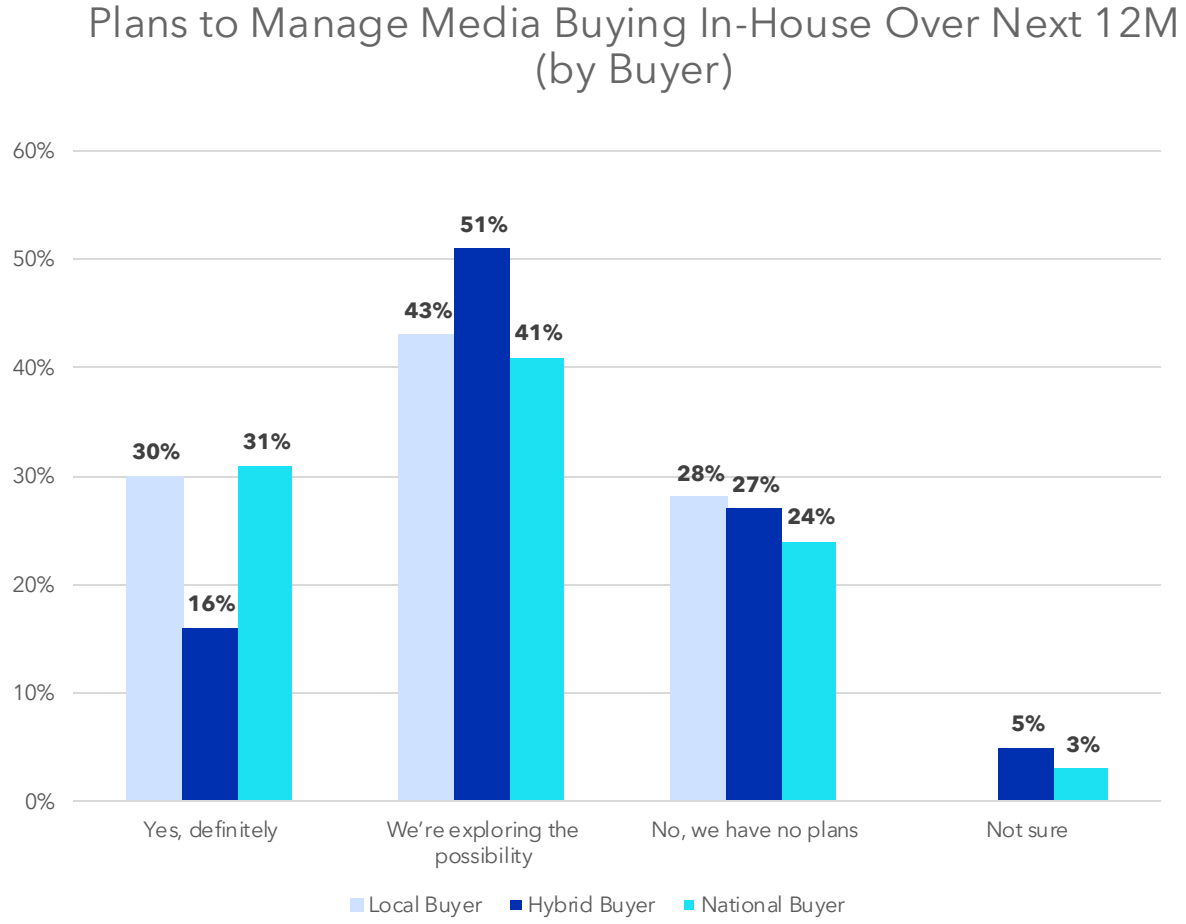
Many brands are starting to manage some or all media buying in-house



How is your media buying currently managed?



Is your organization planning to manage media buying in-house over the next 12 months?

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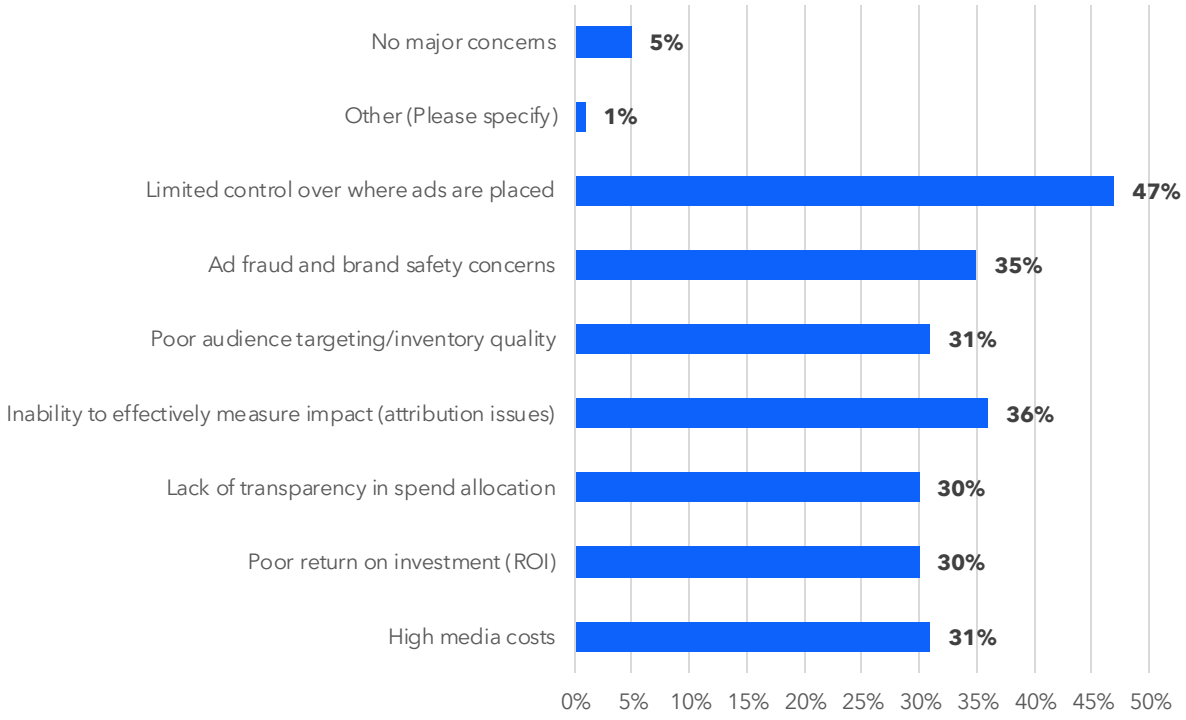
Concerns with programmatic media may be hindering growth

Current Budget Allocated To Programmatic Media

30%

Approximately what percentage of your current media budget is allocated to programmatic media?

Concerns with Using Programmatic Media



What are your biggest concerns with using programmatic media?

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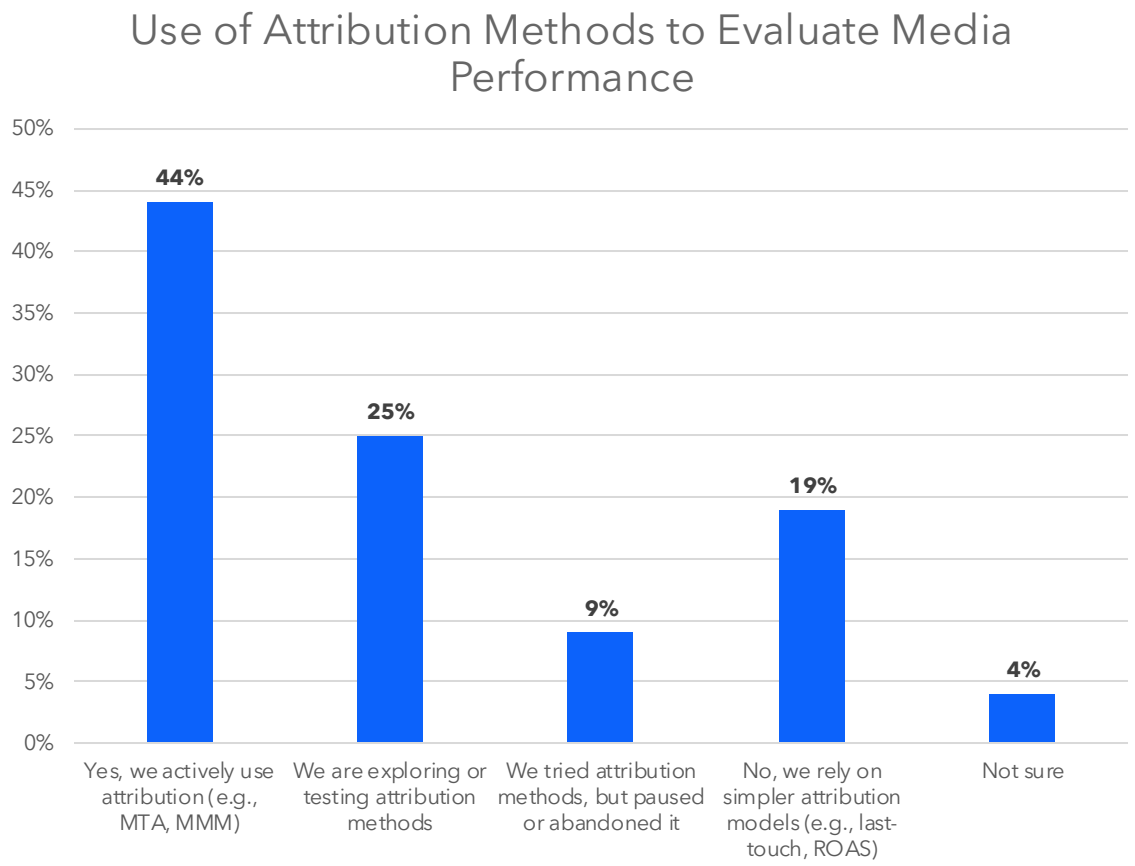
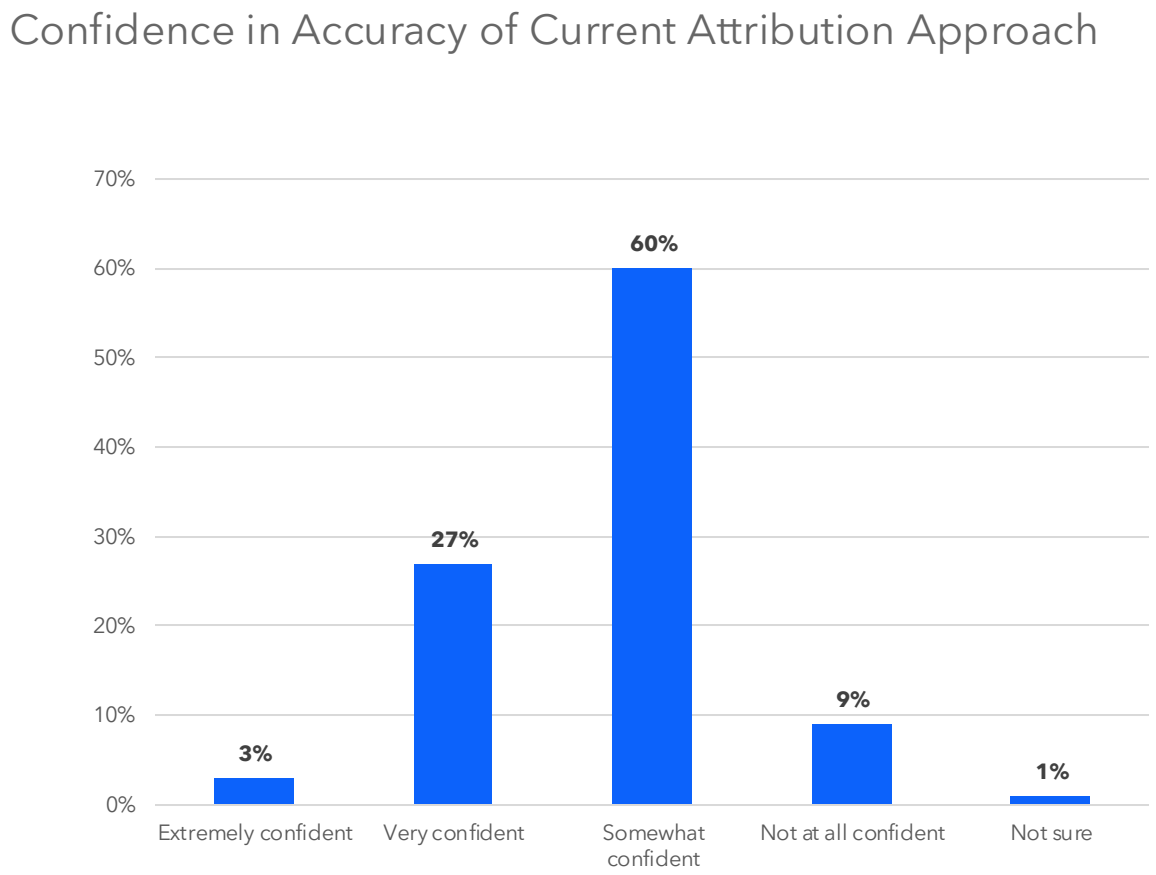
Nearly everyone is using Attribution, but accuracy concerns undermine its value



Does your organization currently use attribution methods to evaluate media performance?



How confident are you in the accuracy of your current attribution approach?

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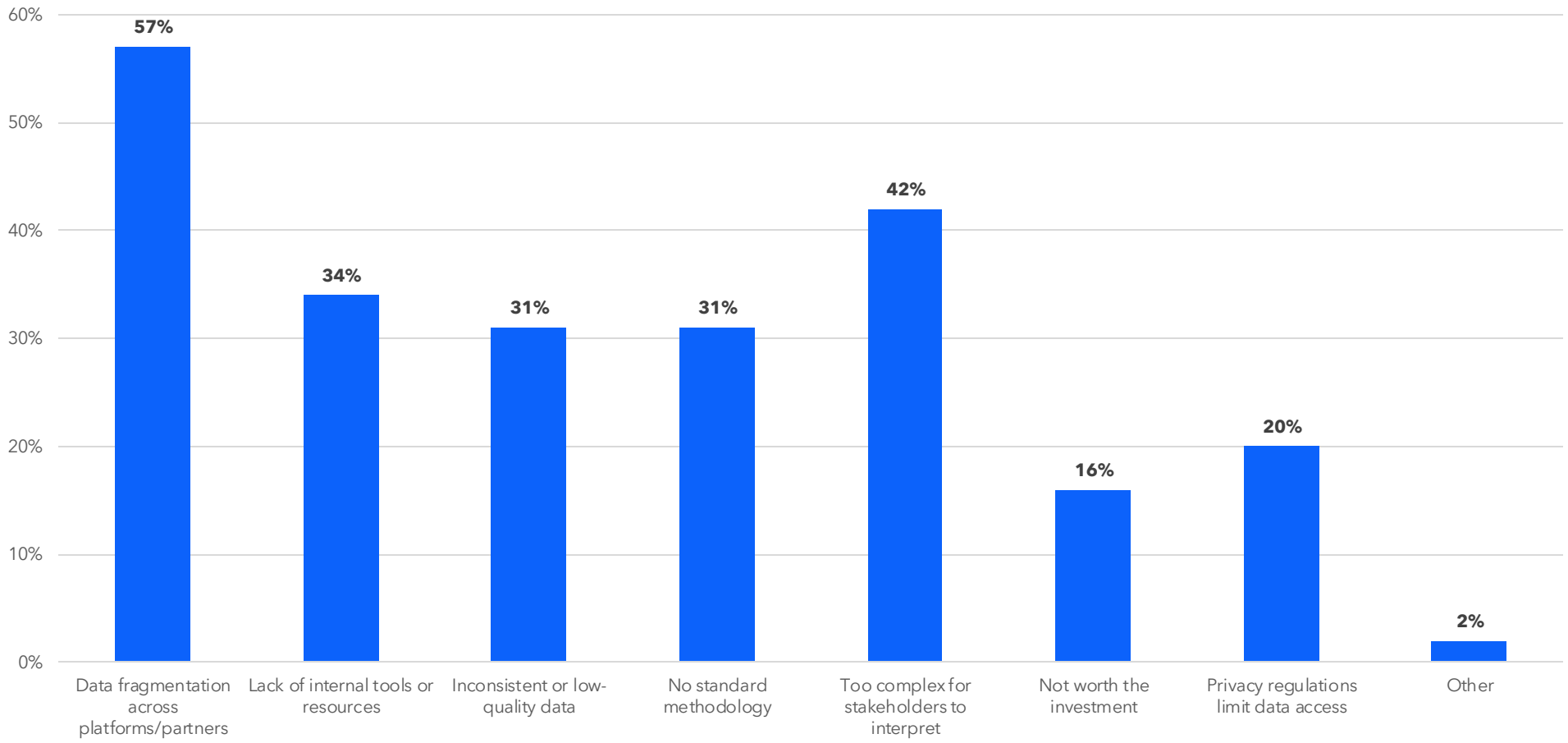
Challenges When Implementing Attribution Methods



Other responses:

- Data Volume / Velocity
- Getting them set in place across platforms/different limitations for different platforms contributes to a lack of consistency

What are the biggest challenges with implementing or using attribution methods?

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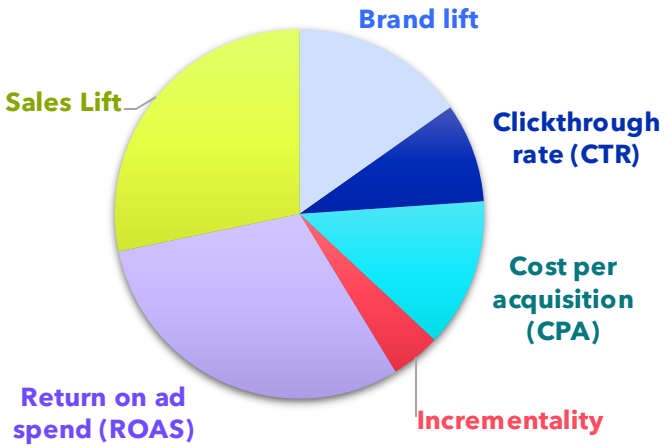
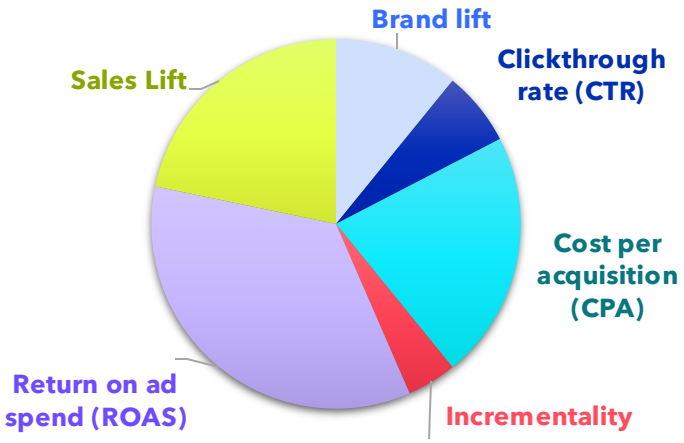
Top KPIs differ significantly by advertiser size

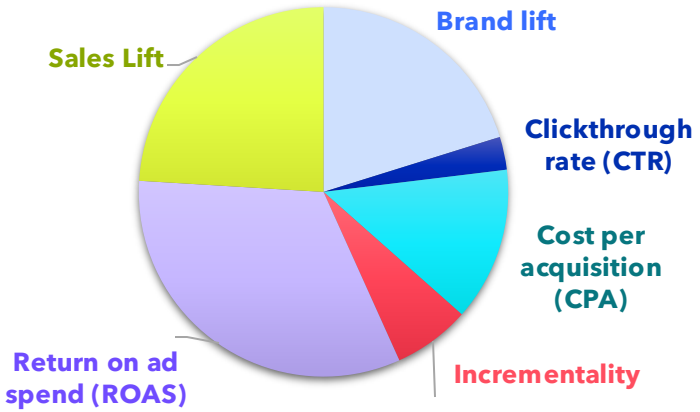
$500K - $2M



$2M - $10M



$10M+



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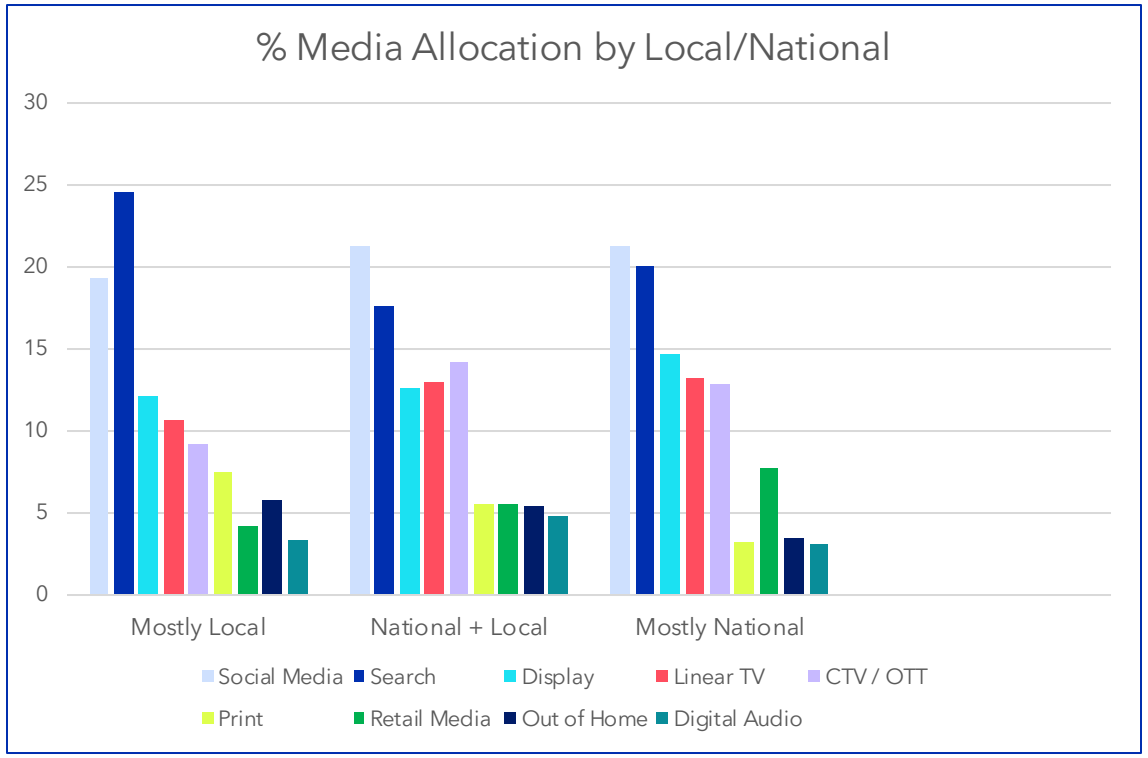
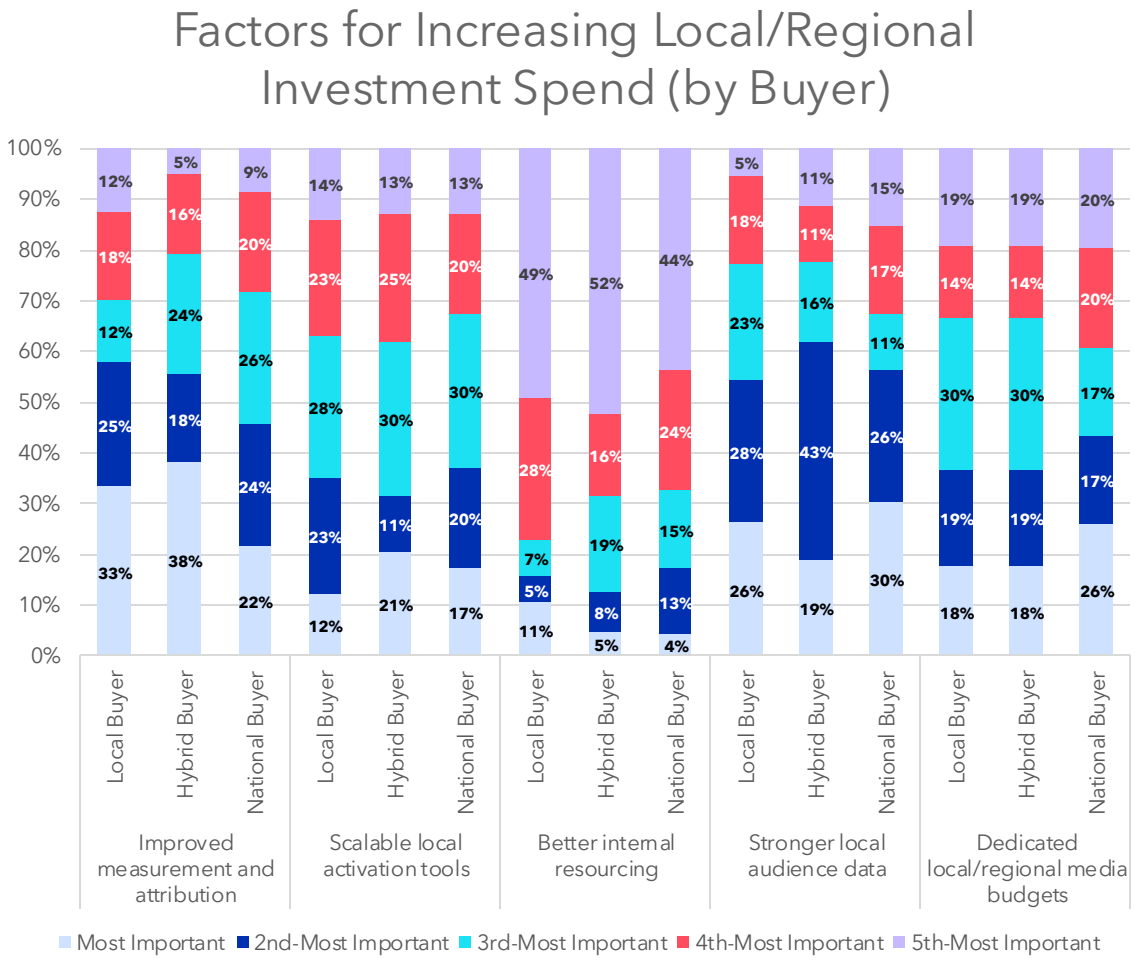
Stronger targeting and measurement capabilities drive CTV increases





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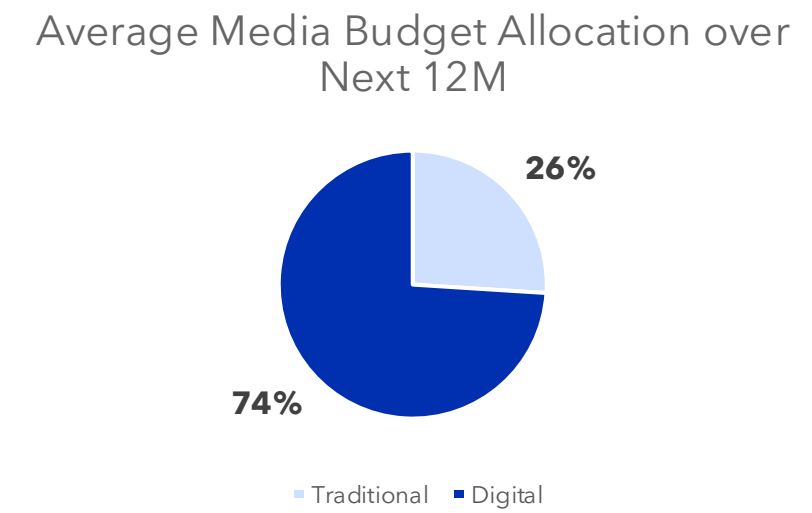
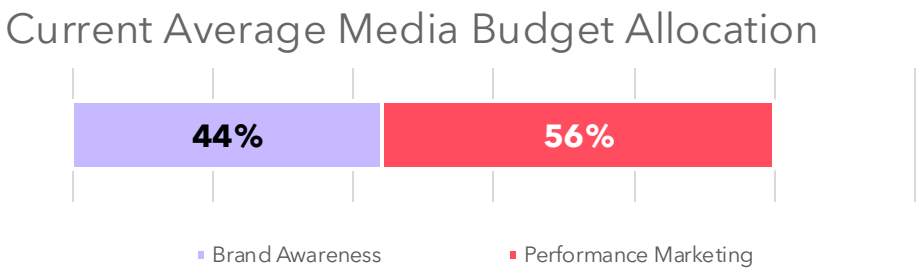
Budget Allocations Show Subtle but Steady Shift Toward Outcome-Based Media



What percentage of your organization's current media budget is allocated to brand awareness and performance marketing efforts?



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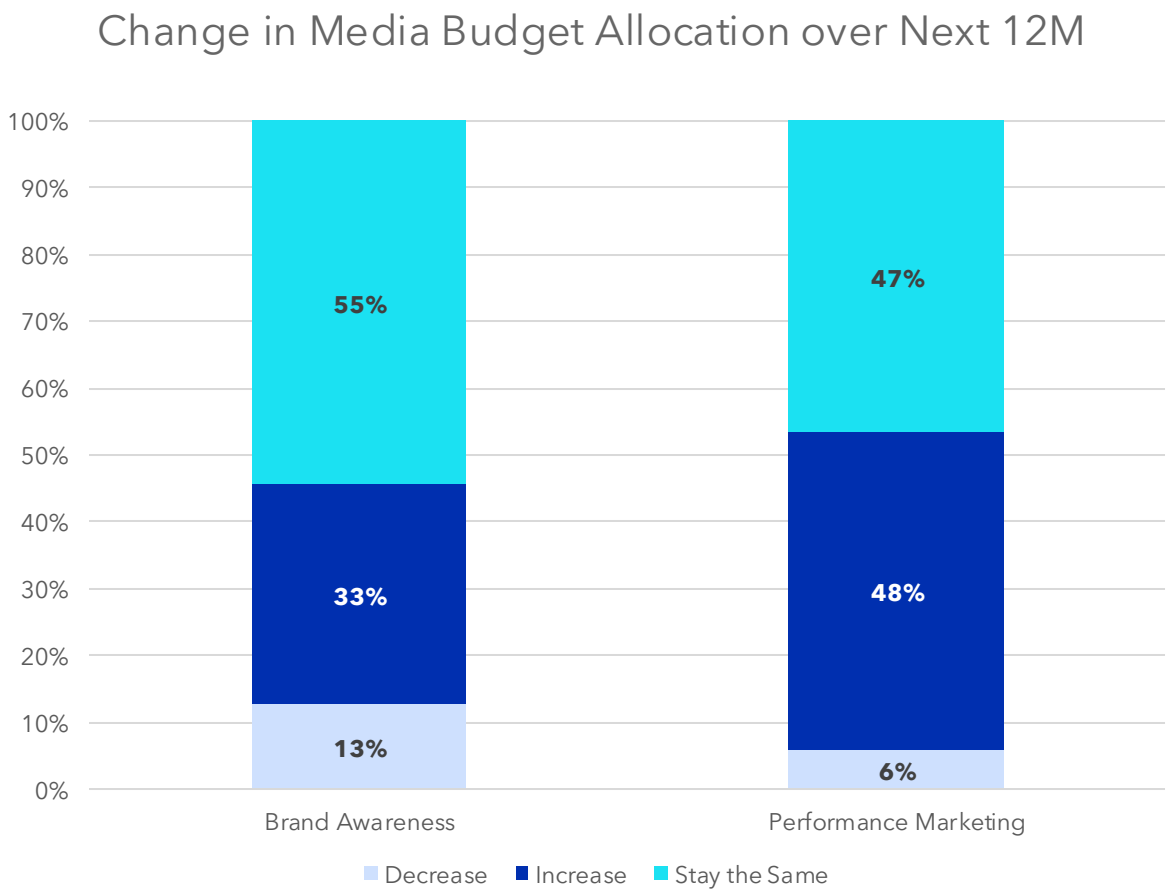

Looking ahead to the next 12 months, how do you expect your organization's media budget allocation to change for each of the following?

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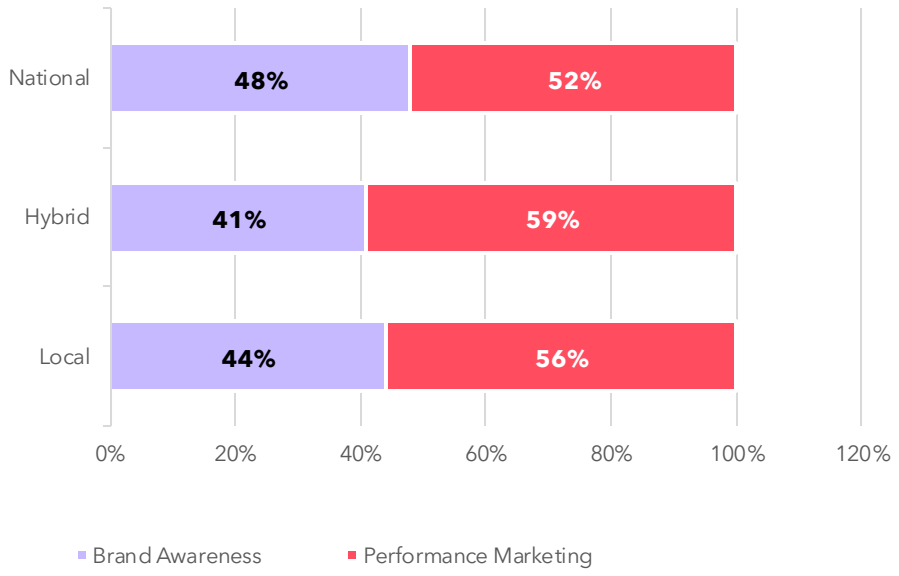
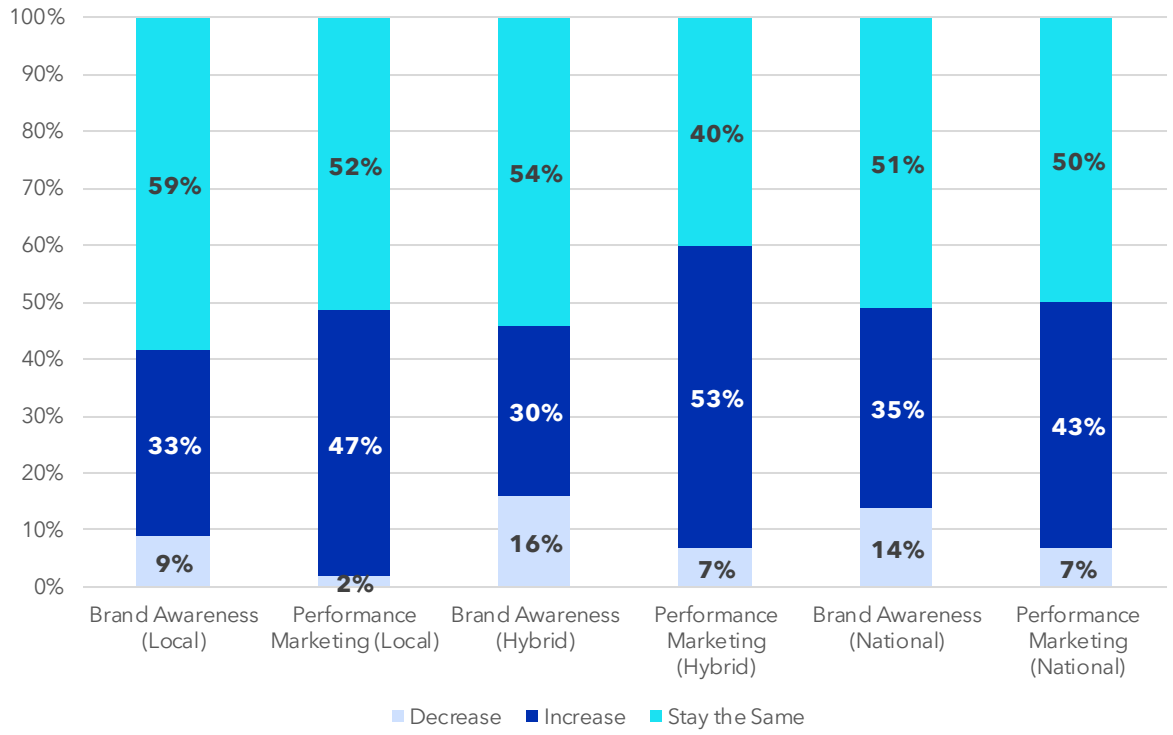
Brand Awareness vs. Performance Marketing by Local/National

Current Average Media Budget Allocation



What percentage of your organization's current media budget is allocated to brand awareness and performance marketing efforts?

Change in Media Budget Allocation Over Next 12M



Looking ahead to the next 12 months, how do you expect your organization's media budget allocation to change for each of the following?

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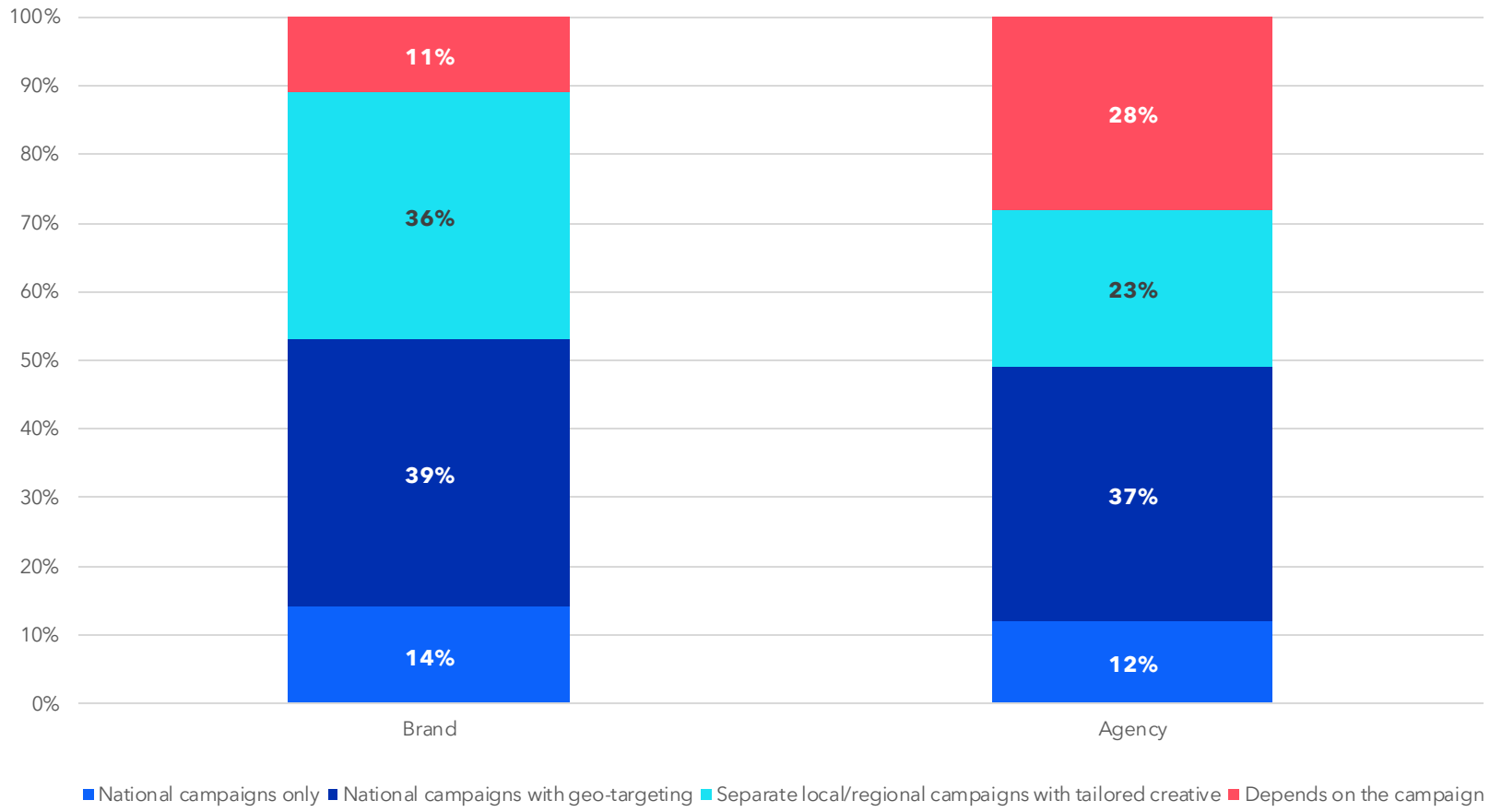
National and Local/Regional Planning Approach by Brand vs. Agency



Which best describes your organization's approach to local or regional advertising?

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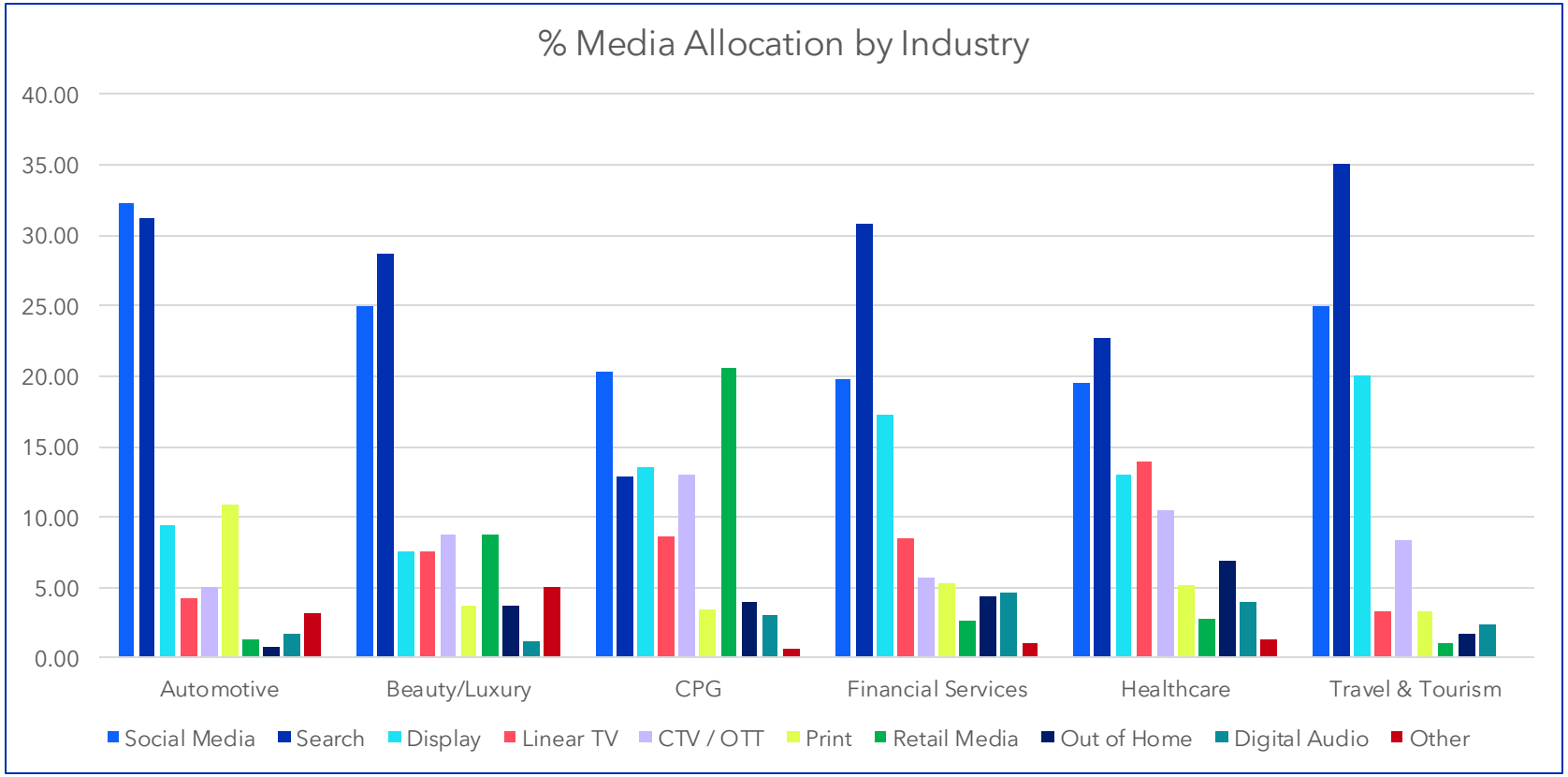
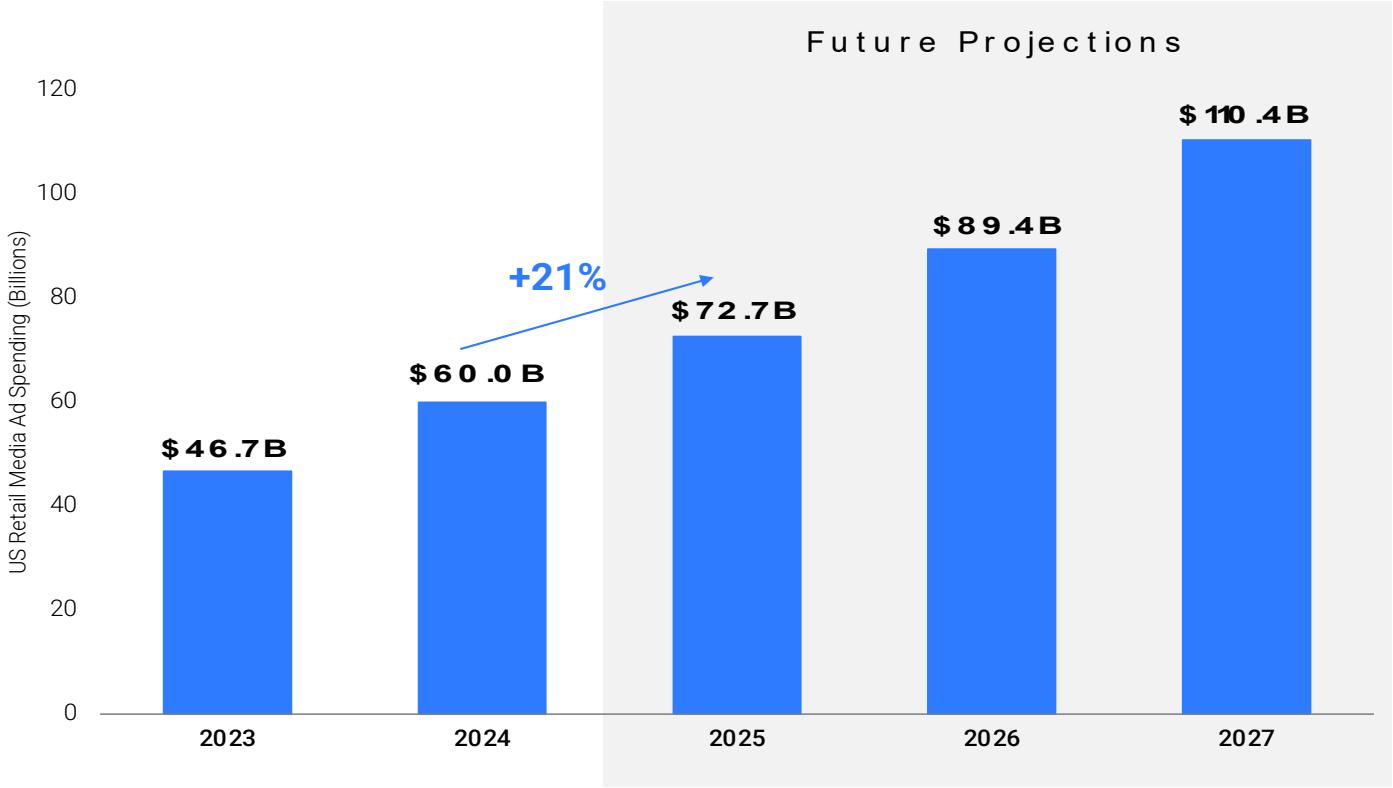
Retail Media is a standout for CPG, but lags across other industries



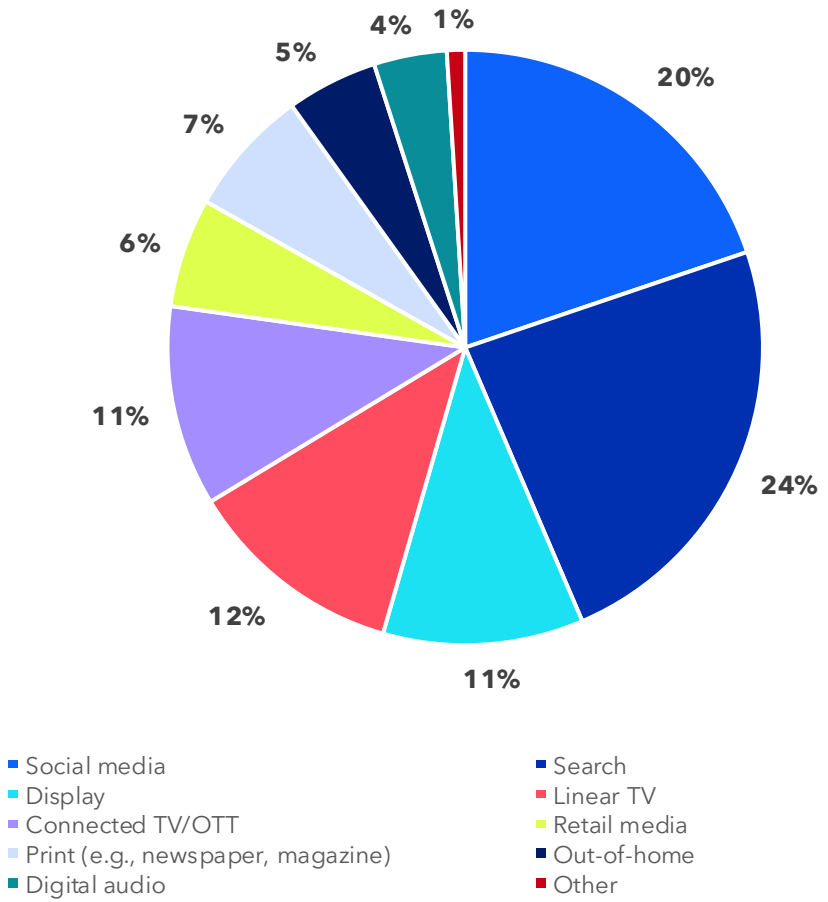
Retail media projected to take nearly a quarter of digital ad spend by 2027



Source: eMarketer, 2023

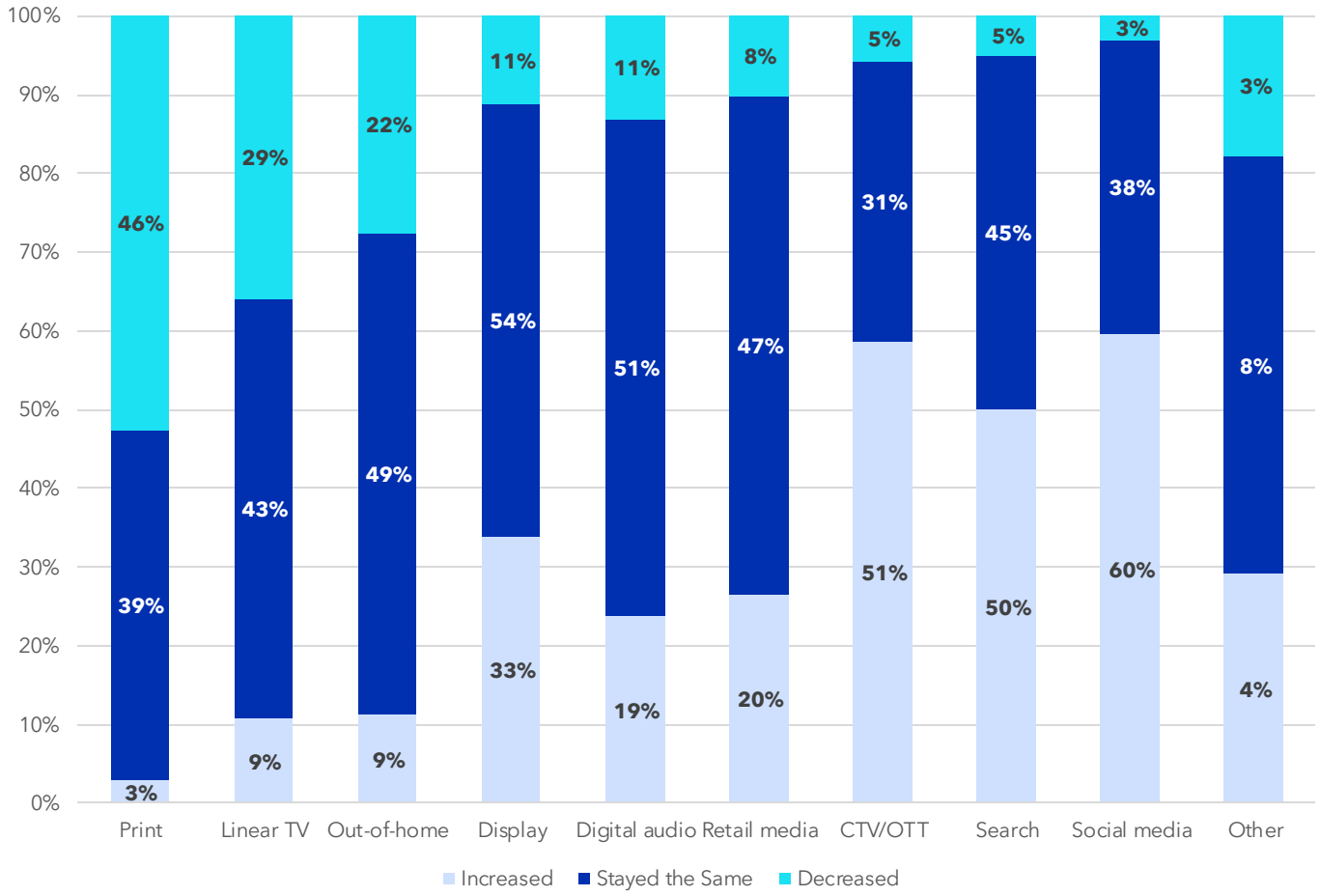
Social & Search Garner a Dominant Share of Media Allocation that is Growing; Linear TV and Print Represent a Smaller Share that is Shrinking

Average Media Budget Allocation Across Channels (%)



Q1: What percentage of your organization's current media budget is allocated to each of the following channels?

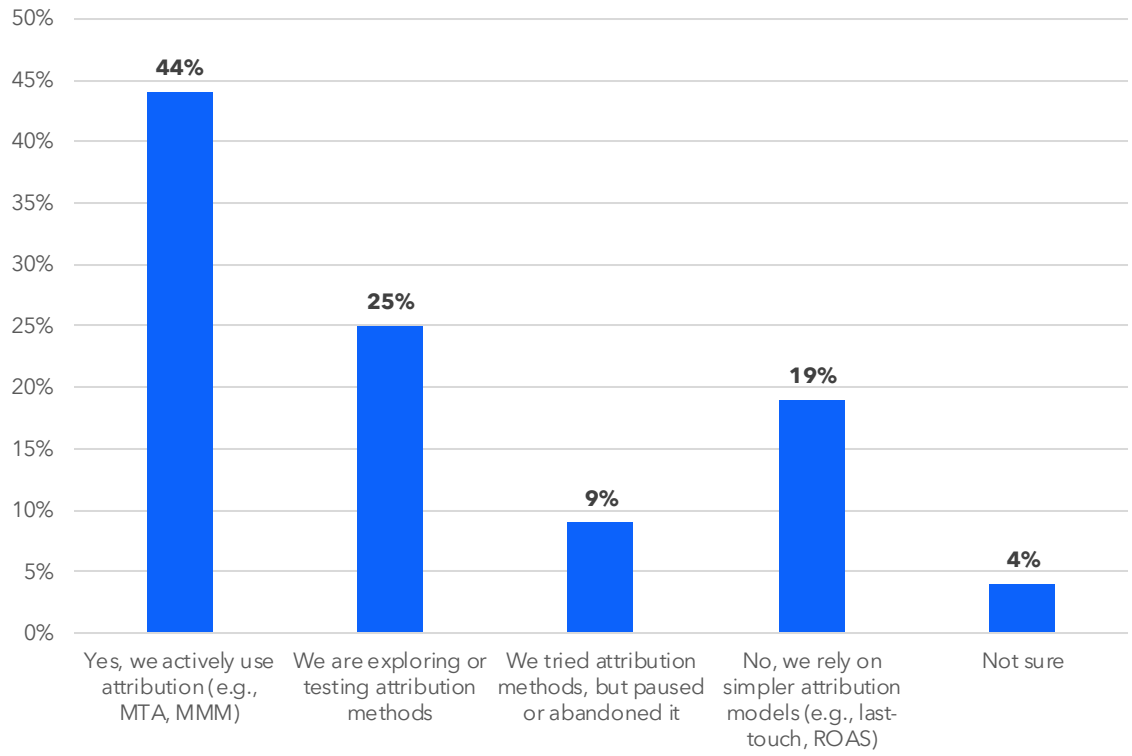
Change in Media Budget Allocation in P12M (%)



Q2: Over the past 12 months, how has your organization's media budget allocation changed for each of the following channels?

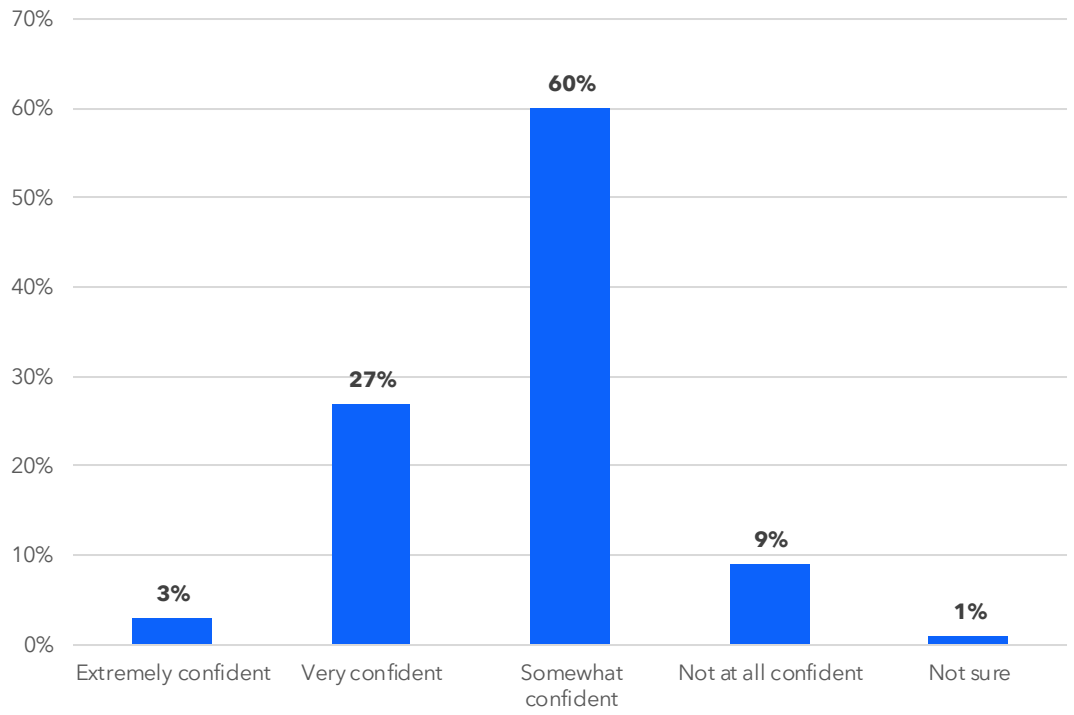
Everyone is Using Attribution, Yet Accuracy Concerns Undermine Its Value

Use of Attribution Methods to Evaluate Media Performance (% of Responses)



Q22: Does your organization currently use attribution methods to evaluate media performance?

Confidence in Accuracy of Current Attribution Approach (% of Responses)



Q23: How confident are you in the accuracy of your current attribution approach?

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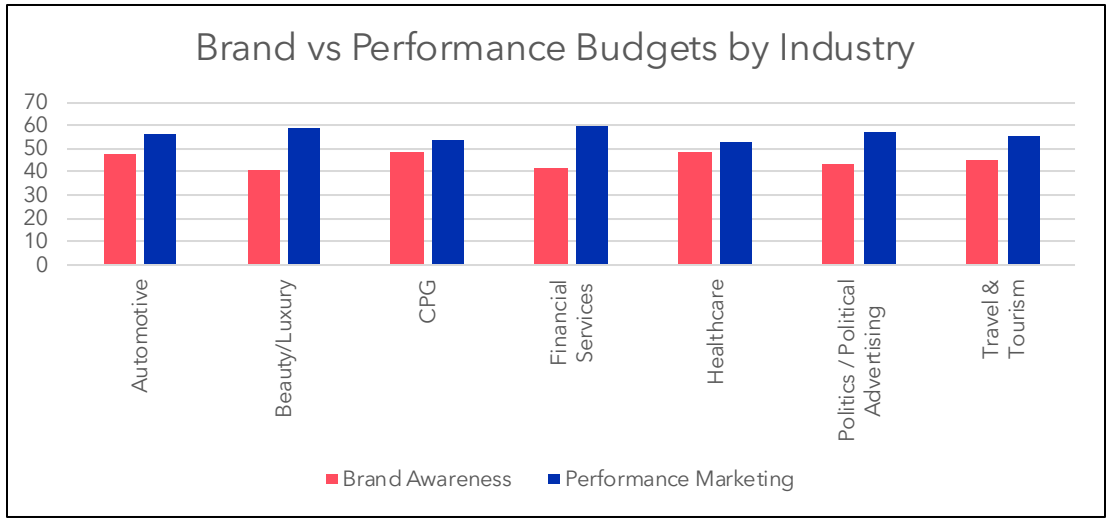
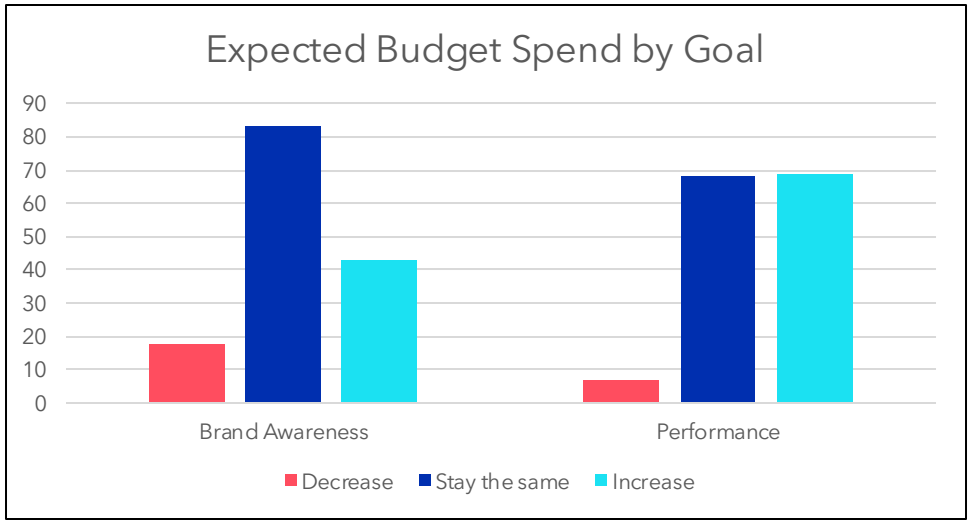
Retail and Travel Push for Performance, While Healthcare and CPG Balance Brand and ROI

While most industries chase immediate returns, brand-building remains essential for sectors rooted in loyalty, credibility, and long-term value.





Key Takeaways:

- *Performance media is the priority across all industries – however, Brand Awareness is nearly as important to CPG and Healthcare advertisers*
- *Performance budgets are expected to get increased budgets, likely as a result of increased overall budgets vs reallocation, since Brand Awareness budgets are expected to remain flat or slightly up*

Opportunities for Hearst:

- ***A programmatic platform for a Hearst PMP*** *should account for multiple goals since Display and CTV are top programmatic channels for Brand Awareness campaigns*
  - *AI-driven audience scaling recommendations*
  - *Provide access to data-driven, cross-channel, and multi-touch attribution solutions so advertisers can be highly efficient, and conversion focused*

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